NEWMARK

2Q26 U.S. Multifamily Capital Markets
Conditions & Trends

2Q26

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Access the Extended 2Q26 U.S. Multifamily Capital Markets Conditions & Trends Report



To access, please request the extended version from the report landing page, or reach out to Mike.Wolfson@nmrk.com or your Newmark contact.

The extended version of this report includes:

- **Demand strengthened significantly in the first half of 2026**, with absorption reaching 279,000 units, the second-highest total on record, even as new supply moderated and annual inventory growth slipped to a 26-quarter low of 1.6%. Still, supply has not been fully absorbed, as trailing 12-month demand trails supply by roughly 69,000 units, keeping the market out of equilibrium.
- **Rent growth is diverging sharply across markets, making this a stock picker's market,** as the gap between the best- and worst-performing metros has widened to 16.4%. Capital is rotating toward markets with the strongest fundamentals, with major metro investment share climbing to a 9-year high.
- **Debt capital availability improved in the first half of 2026**, as multifamily loan originations rose 26% year-over-year to $191 billion, reflecting renewed lender confidence. Bank lending led the resurgence, surging 65% year-over-year.
- *Extensive content across 70+ slides—a detailed presentation packed with useful multifamily capital markets information and in-depth analysis.*

U.S. Market Fundamentals

2Q26 Key **Leasing Market** Fundamentals

U.S. DEMAND	Demand as a % of Inventory	Quarterly Supply	Annual Inventory Growth	Multifamily Starts	Stabilized Vacancy Rate	Effective Rent Growth	% of Top 50 Mkts with Positive YoY Rents
UP	DOWN	DOWN	DOWN	DOWN	FLAT	DOWN	UP
187K Units	1.3%	78K Units	1.6%	274K Units	4.4%	-0.2%	46%
103.8% QOQ	260 BPS YOY	23.9% YOY	110 BPS YOY	11.6% QOQ	UNCHANGED YOY	100 BPS YOY	4% QOQ



2Q26 Key **Capital Markets** Fundamentals

1H Origination Volume	GSE Market Share	1H26 Sales Volume	Transactional Average Cap Rates
UP	DOWN	UP	UP
$191B	39%	$72.1 B	5.79%
26% YOY	40 BPS YOY	5.6% YOY	27 BPS YOY

Key Takeaways

First-half absorption hit 279,000 units, the second-highest on record, while annual inventory growth fell to a 26-quarter low. Vacancy is bifurcating with stabilized assets tightening for six straight months to 4.4%, even as overall vacancy inches up. Rent declines are narrowing and are projected to turn positive by year-end, though concessions stay elevated. Capital markets are back in motion: debt originations accelerated, investment sales volume is building for a third straight year, and cap rates hold steady in the mid-5% range.



Demand Hits Second-Highest On Record

1H absorption hit 279,000 units, over double the long-term average, led by the year's best quarter.



Supply Pipeline Normalizes

Inventory growth fell to a 26-quarter low of 1.6%, and construction activity dropped to near pre-pandemic levels.



Debt Capital Markets Reaccelerate

Debt originations rose 26% year-over-year in 1H26, led by a 65% jump in bank lending.



Investment Sales Build Momentum

Trailing 12-month sales hit $174.0 billion, up 11.1% year-over-year, as cap rates held steady.

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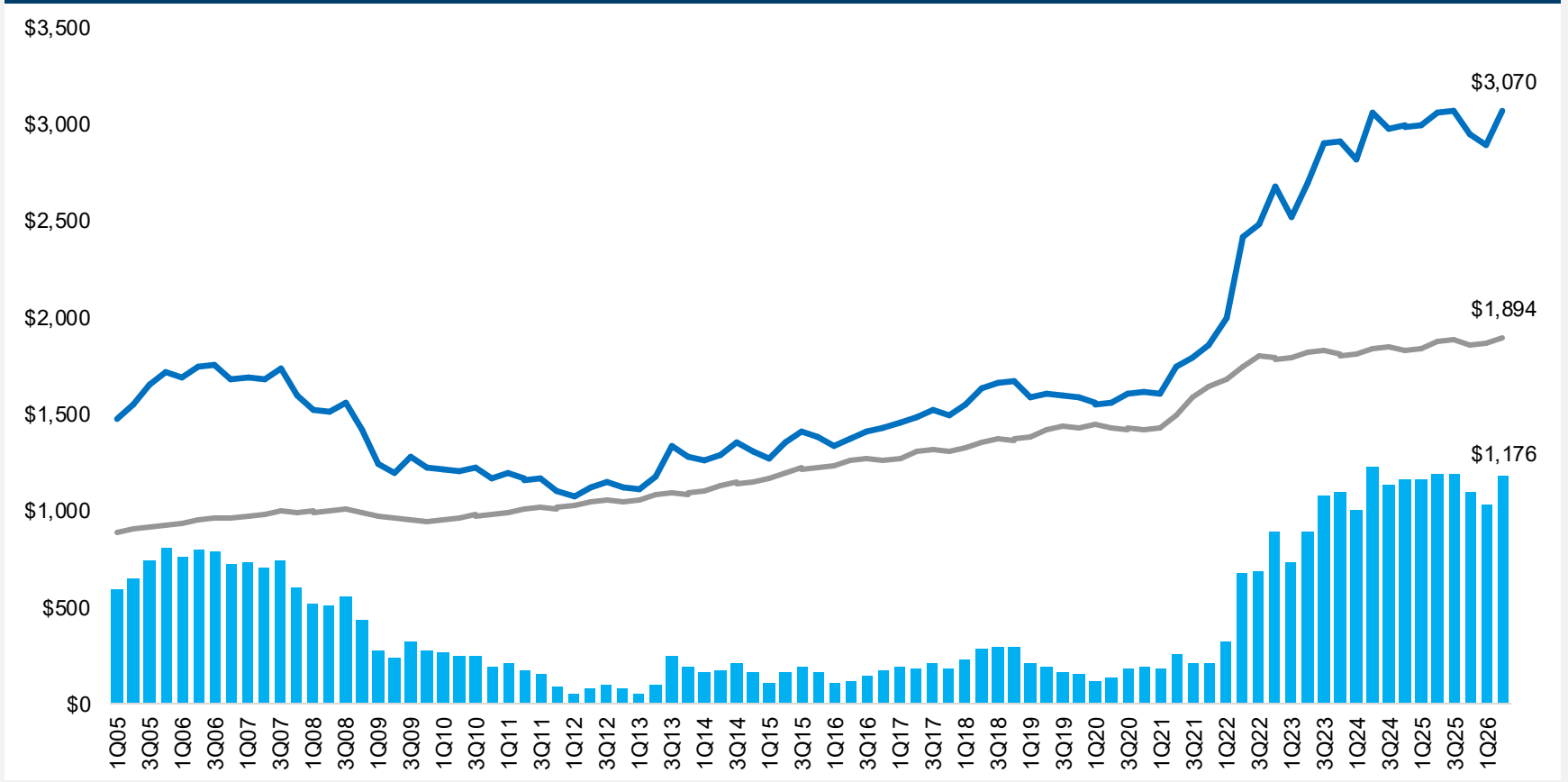
Demand Drivers

2Q26



Renting Remains Significantly More Cost-Effective Than Homeownership

Cost of Homeownership Compared to Renting



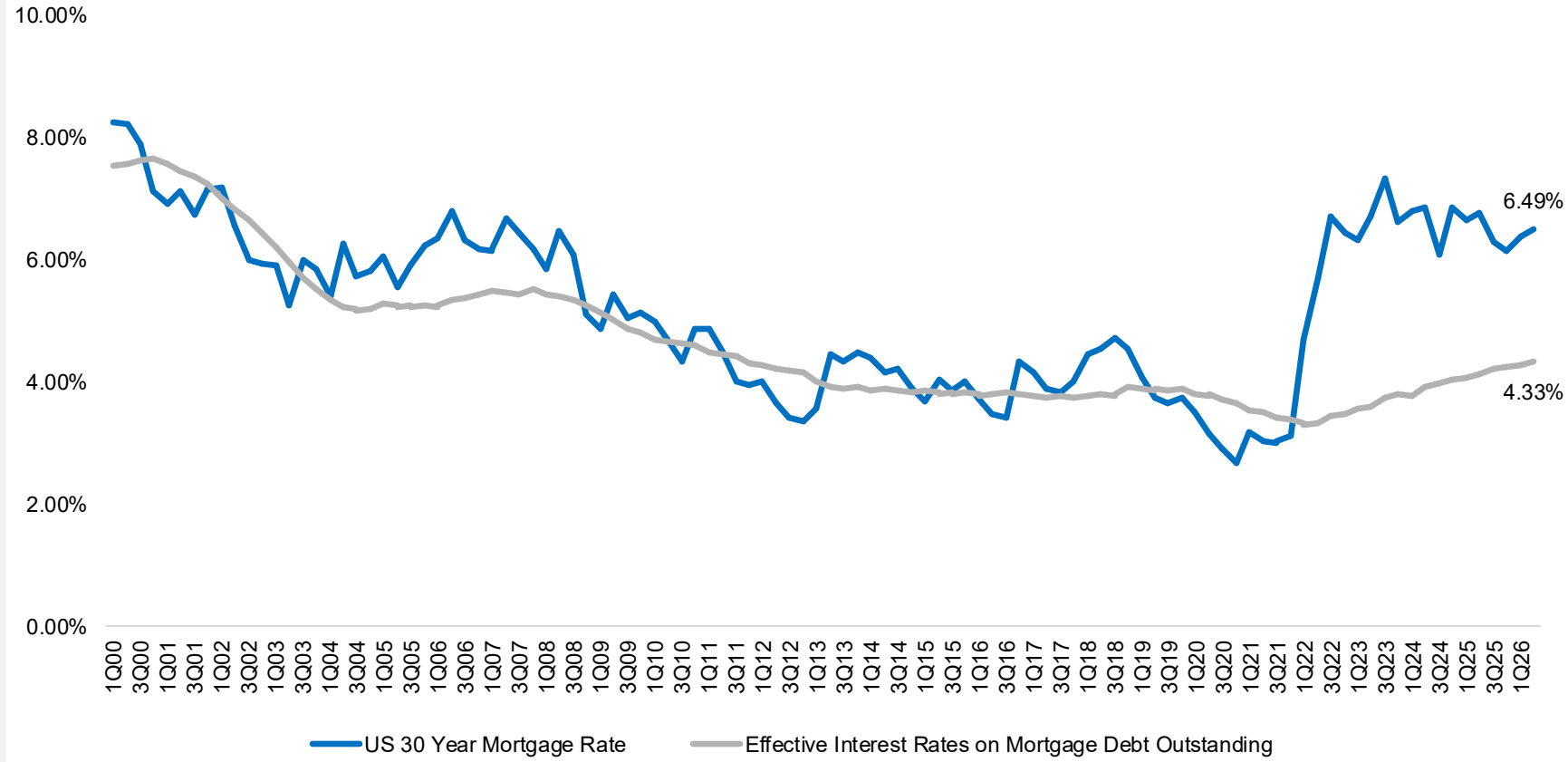
- As of the second quarter of 2026, the spread between homeownership and renting costs totaled $1,176, representing 2.7 times the long-term average of $438. This elevated spread highlights significant affordability challenges facing potential homebuyers.
- The cost-to-own premium saw a decrease year over year, for the third consecutive quarter. However, the gap between ownership and rental costs remains elevated, favoring renting over homeownership.

Source: Newmark Research, RealPage, Atlanta Federal Reserve (July 21, 2026)

High Rates Limiting Transactions; New Mortgages 50% Greater Than In-Place

The 30-year fixed mortgage rate climbed to 6.49% in 2Q26, while the effective interest rate on outstanding mortgage debt rose to 4.33%, a spread of 216 basis points, or 50% higher on a relative basis, reflecting the mortgage rate lock-in effect. Assuming the 30-year rate holds steady, the effective rate's roughly 0.24% annual pace of increase since its 2022 low implies it would take about 8 to 9 years to converge with current rates. This prolonged gap suggests sustained pressure on homebuying that could, in turn, benefit multifamily.

30-Year Fixed Rate Mortgage Average and Effective Interest Rate on Mortgage Debt Outstanding



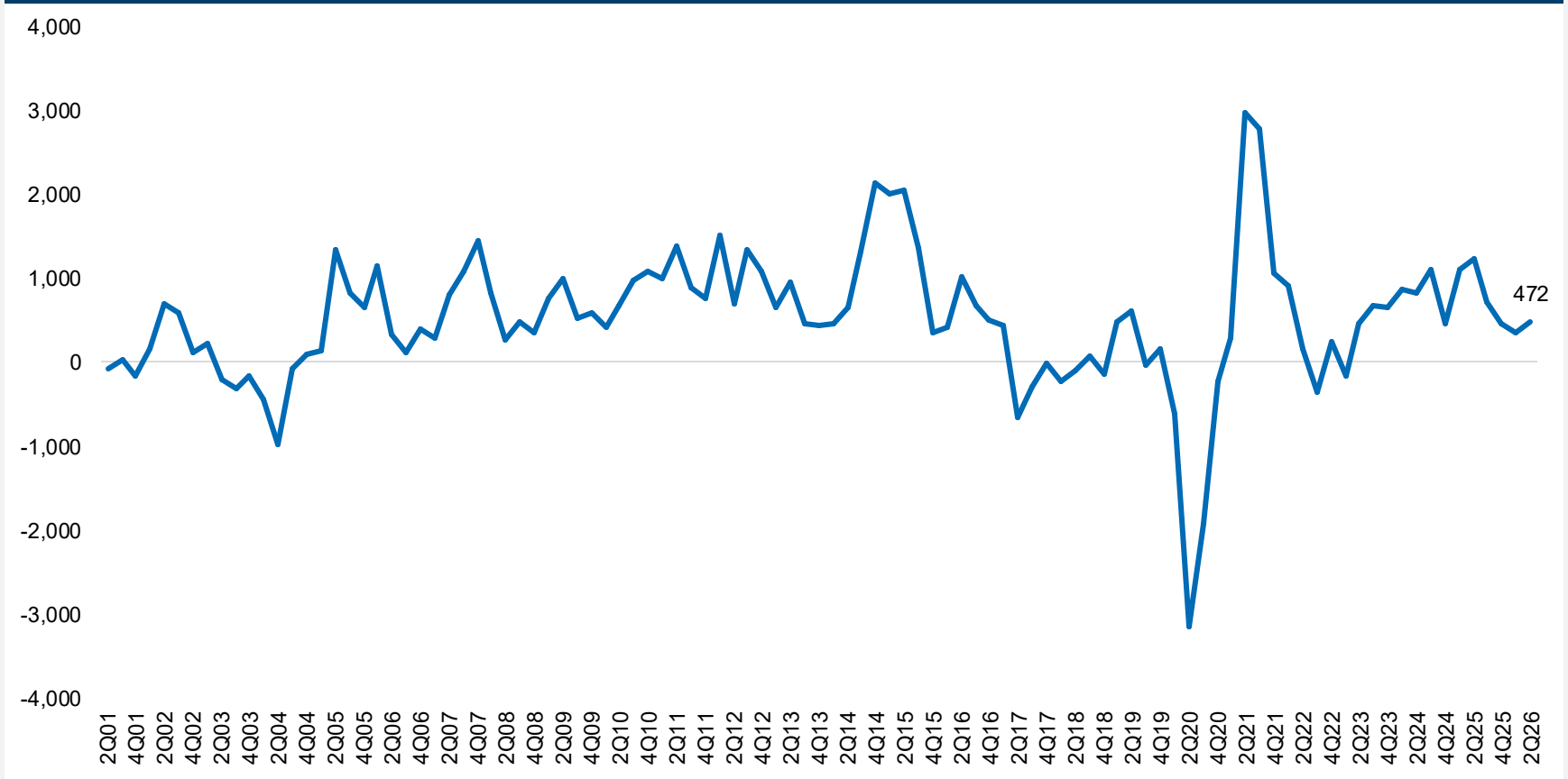


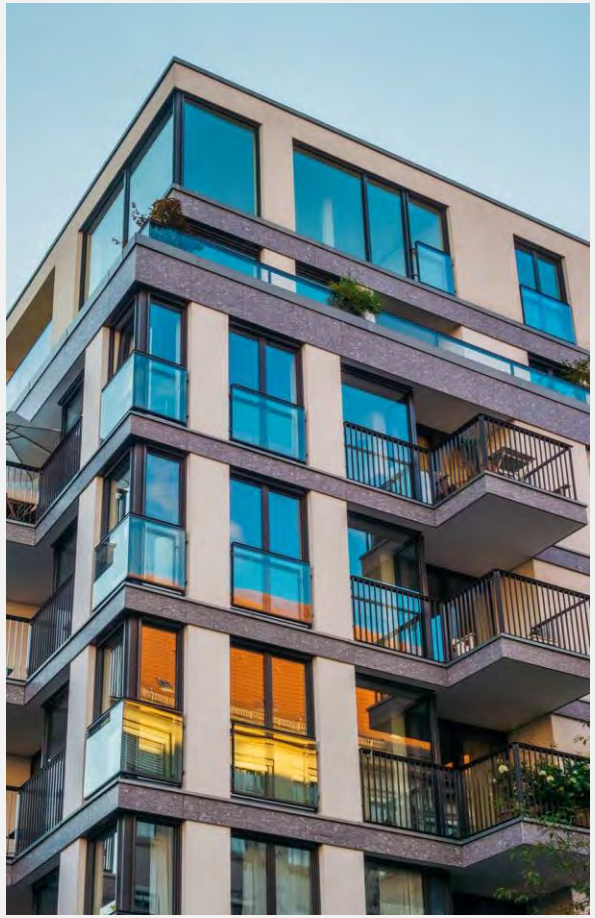
Source: Newmark Research, U.S. Bureau of Economic Analysis

Rentals Accelerate in 2Q Following Three-Quarter Downward Trend

Renter-occupied housing units rose by 472,000 year-over-year in the second quarter, snapping three consecutive quarters of deceleration. While growth remains well below the 2021 surge and the recent cycle peak, the reversal suggests underlying rental demand is beginning to stabilize. Persistent for-sale affordability constraints continue to keep would-be buyers in the rental pool, reinforcing a durable renter base.

Renter Occupied Housing Units; Change from Year Ago in Thousands





Source: Newmark Research, U.S. Census Bureau, Federal Reserve Bank of St. Louis

02

Fundamentals

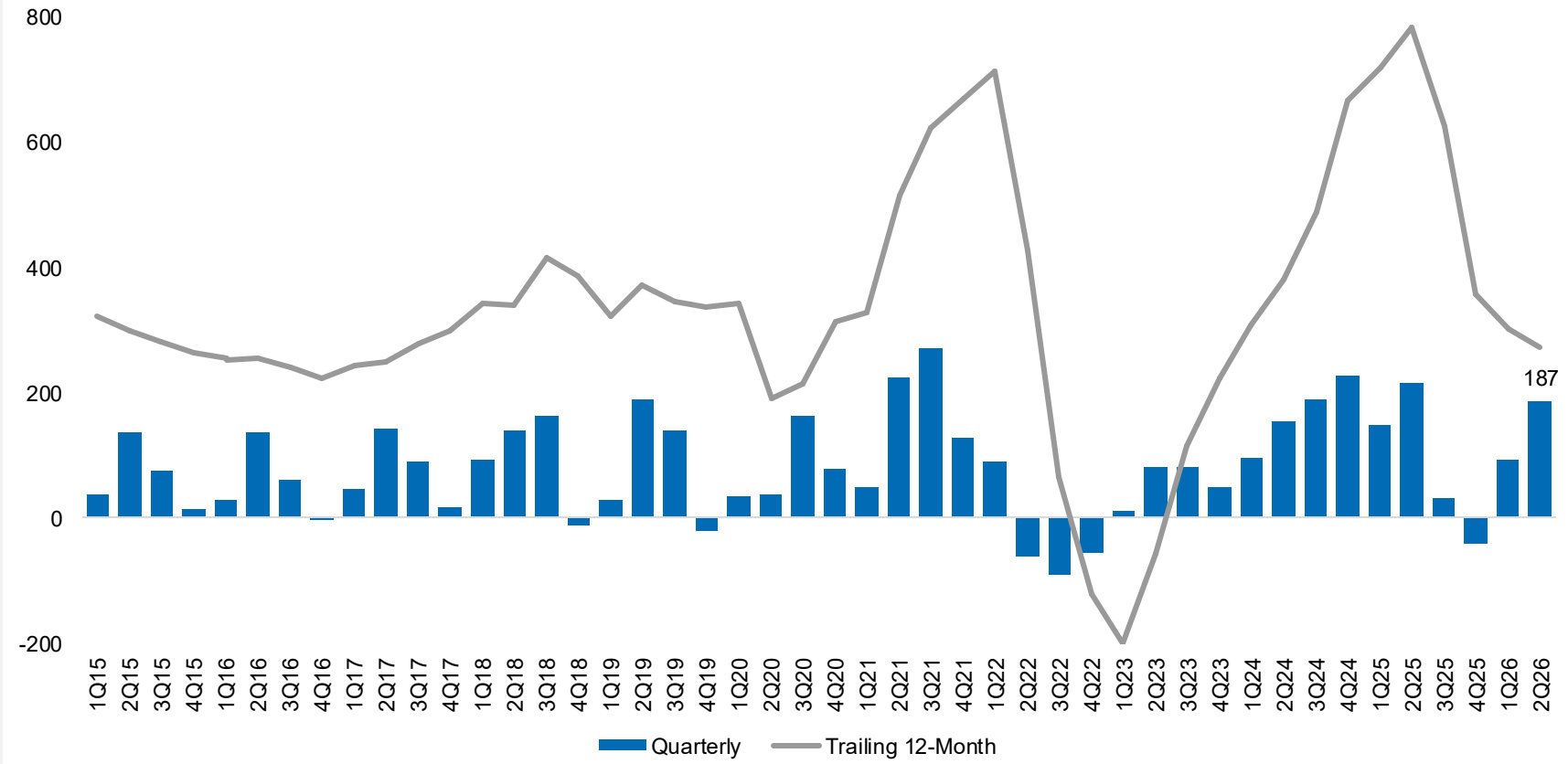
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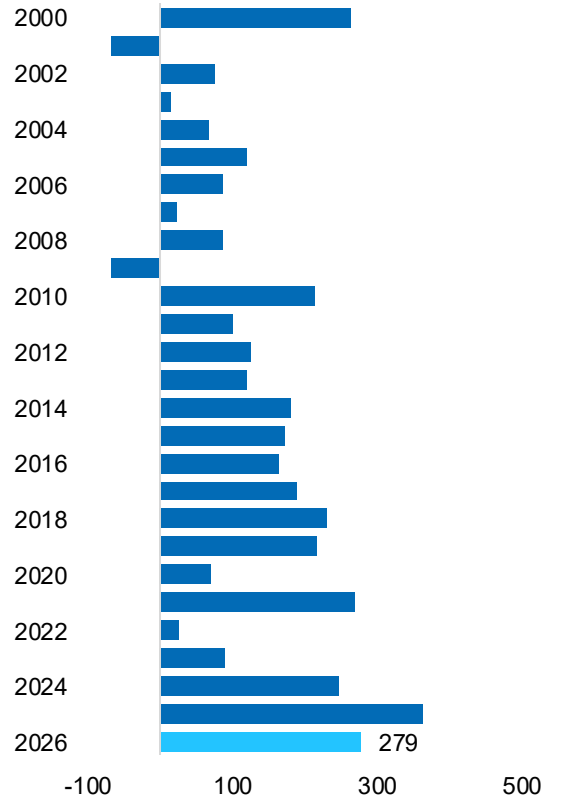
Absorption Rebounds in 2Q; First-Half Demand Surges to Second-Highest on Record

First-half demand was a clear bright spot, with over 279,000 units absorbed, representing the second-largest first-half total on record and 103.8% above the long-term average. That strength was led by a surge in second-quarter activity, which posted the best quarterly absorption of the past four quarters at more than 187,000 units.

Quarterly & Trailing 12-Month Demand; Units in Thousands



Historical First Half Demand
(in Thousands)

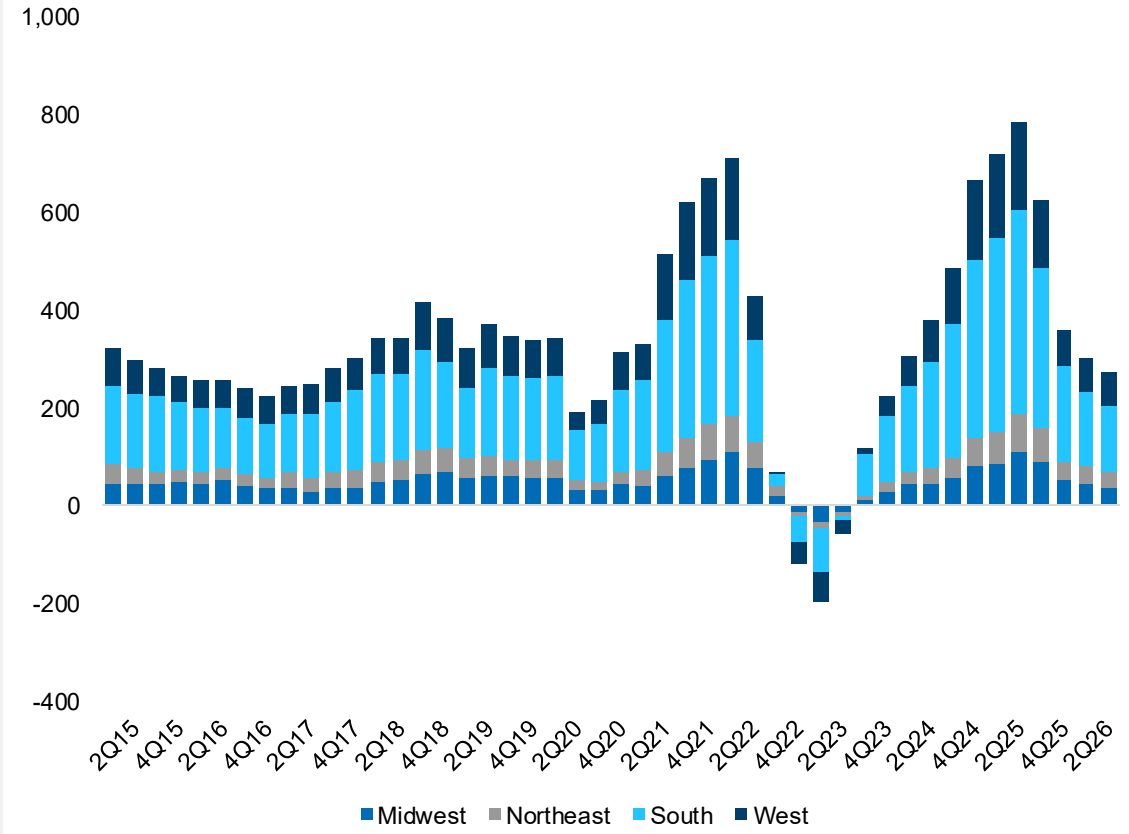


Source: Newmark Research, RealPage

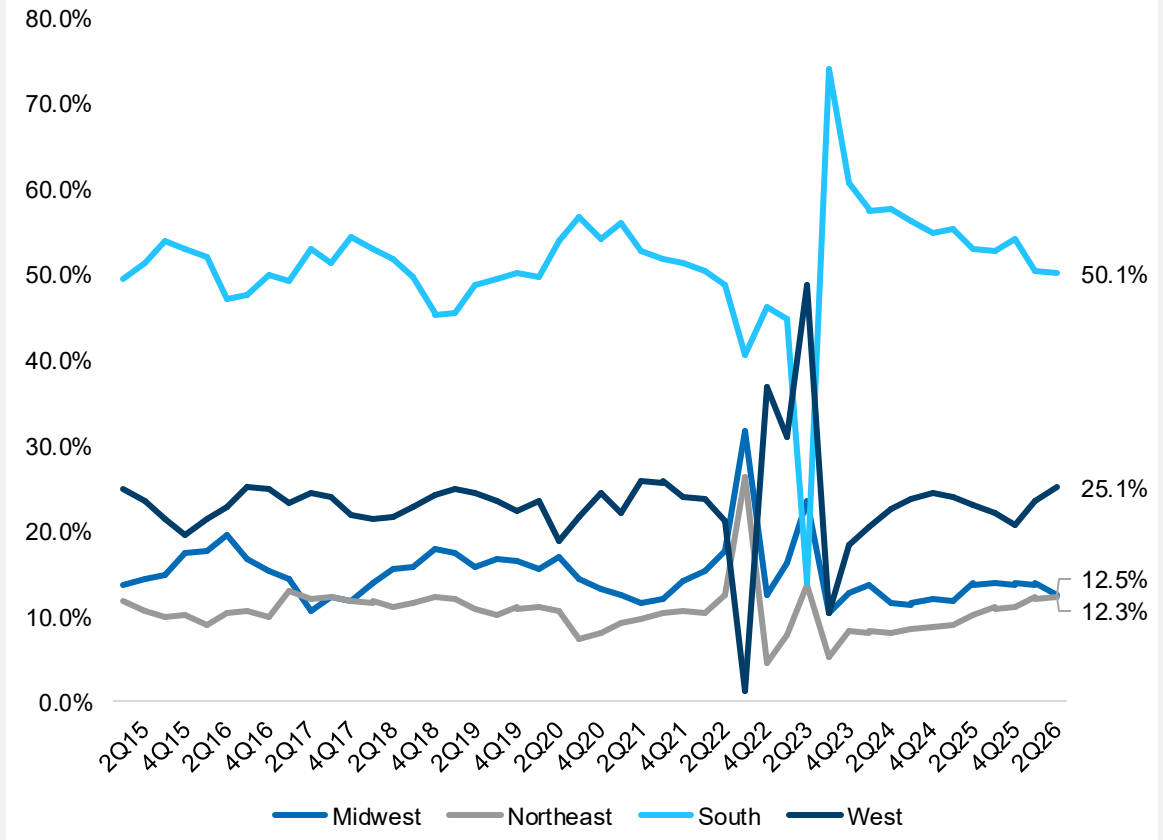
South Holds the Largest Share, but Northeast and West Are Gaining Ground

The South remains the largest share of demand at 50.1%, though the Northeast and West posted the strongest year-over-year gains, with market share improving 2.2% and 2.0%, respectively. Both regions are also outperforming on an absolute basis, with 2Q market share above their long-term averages.

Trailing 12-Month Demand by Region; Units in Thousands



Trailing 12-Month Demand by Region; Market Share

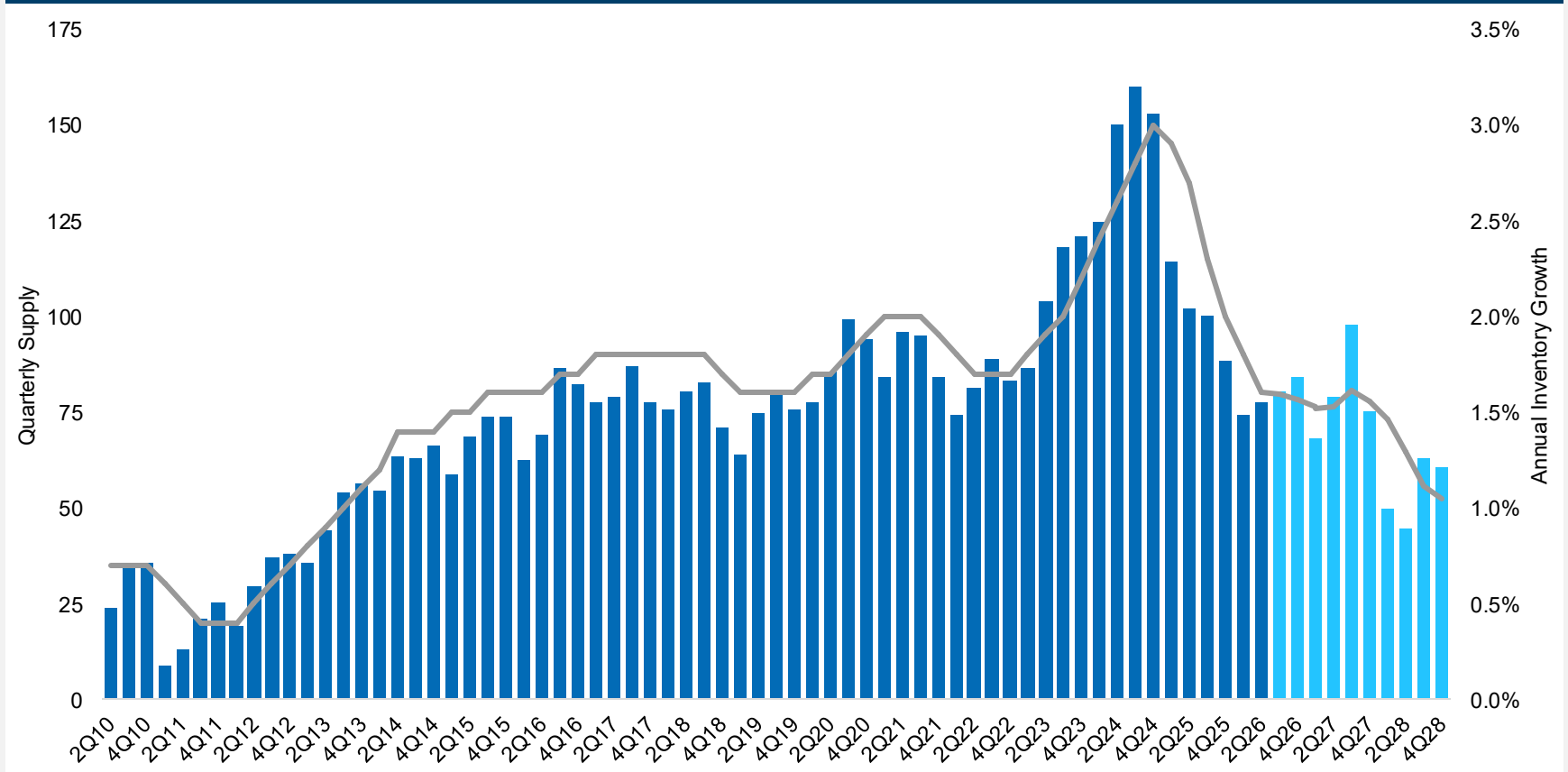


Source: Newmark Research, RealPage

2Q Uptick Aside, the Downward Trend Holds as Inventory Growth Hits a 26-Quarter Low

Deliveries totaled 78,000 units in the second quarter, pushing quarterly supply above the first quarter's total, but the broader trend remains firmly downward. Annual inventory growth ticked down to 1.6%, its lowest level in 26 quarters, reinforcing that the supply wave that peaked in 2024 continues to recede.

Quarterly Supply and Annual Inventory Growth; Units in Thousands



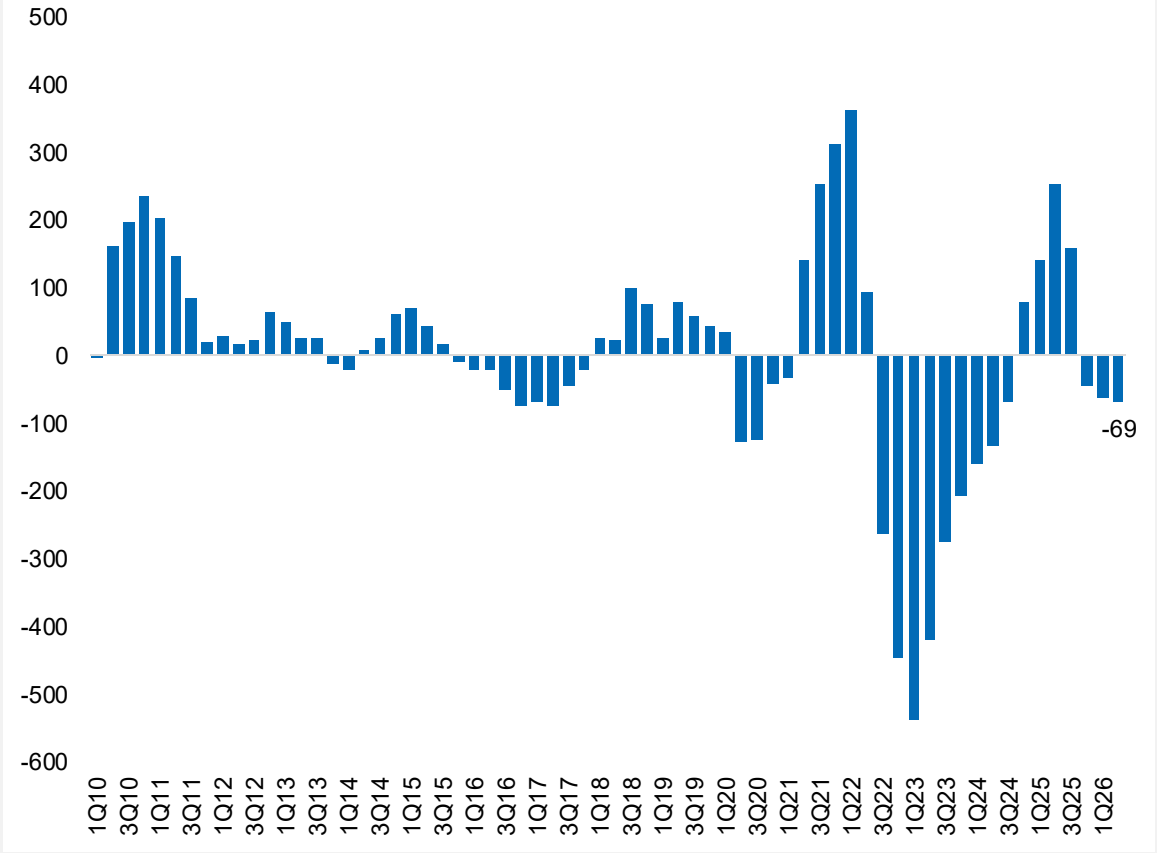


Source: Newmark Research, RealPage

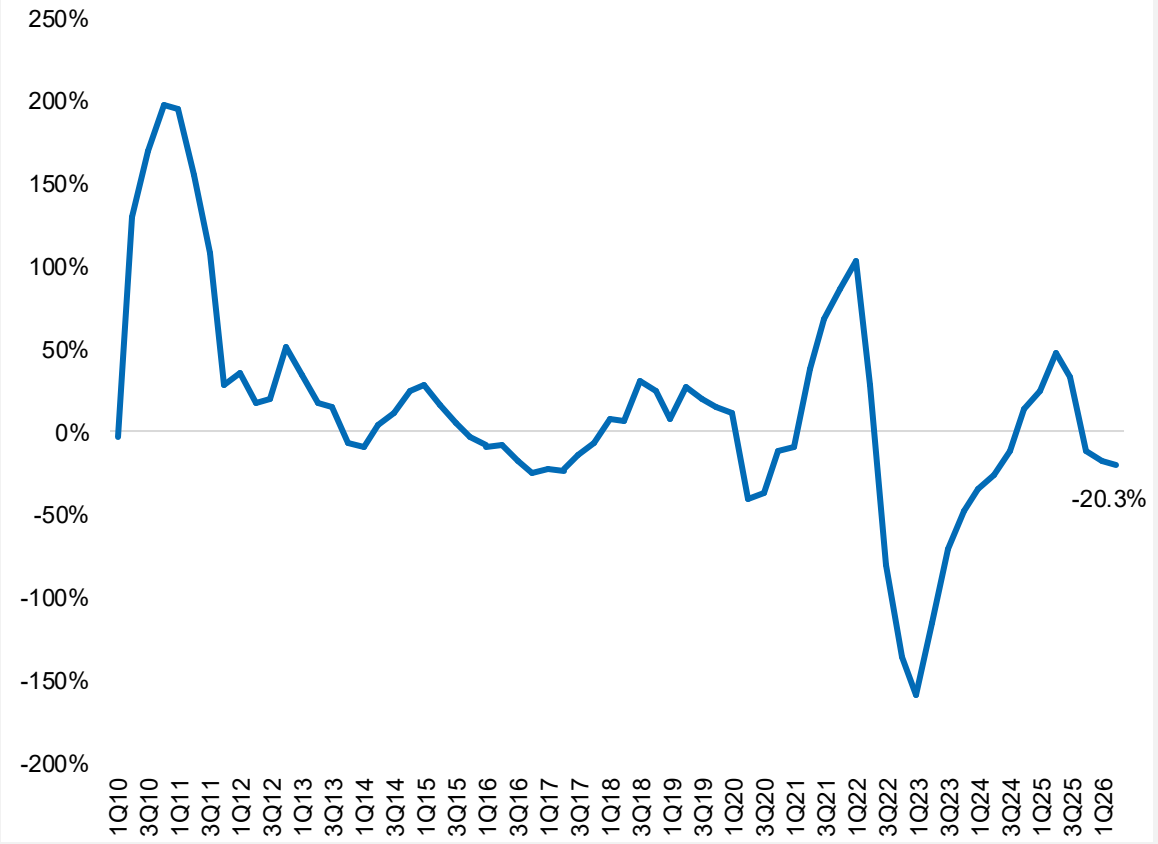
Demand Falls Short of Supply as the Market Tips Back Out of Equilibrium

As of the second quarter, trailing 12-month demand trails supply by 69,000 units, or 20.3% on a relative basis. This marks the third consecutive quarter in which supply has outpaced demand, with the gap widening each quarter.

Trailing 12-Month Demand minus 12-Month Supply; Units in Thousands



Trailing 12-Month Demand Relative to Supply (Gap vs. Equilibrium)

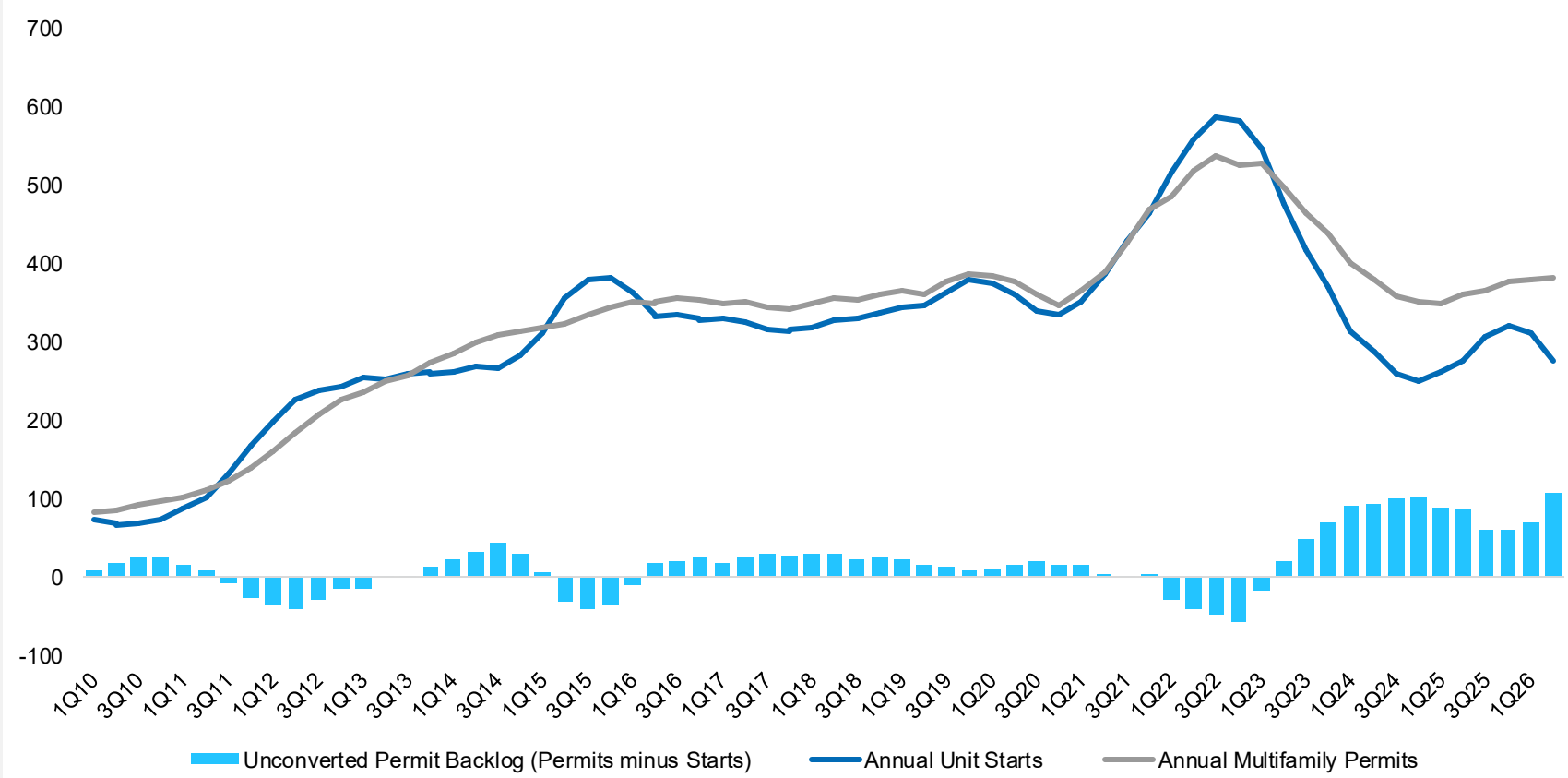


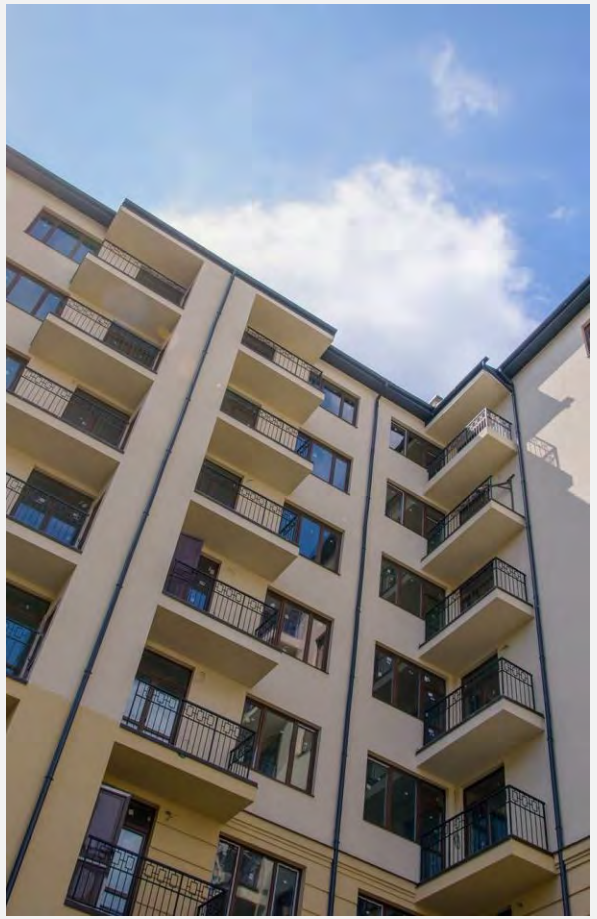
Source: Newmark Research, RealPage

Starts Continue to Tail Off as Backlog Between Approval and Groundbreaking Grows

The widening spread between multifamily permits and starts, now the largest since 2010, reflects a feasibility standoff rather than a construction slowdown. Elevated costs and tighter financing have made many permitted projects uneconomical to start, while lingering oversupply from the 2022–2024 delivery boom removes any urgency to break ground into soft rents.

Trailing 12-Month Unit Starts and Multifamily Permits; Units in Thousands



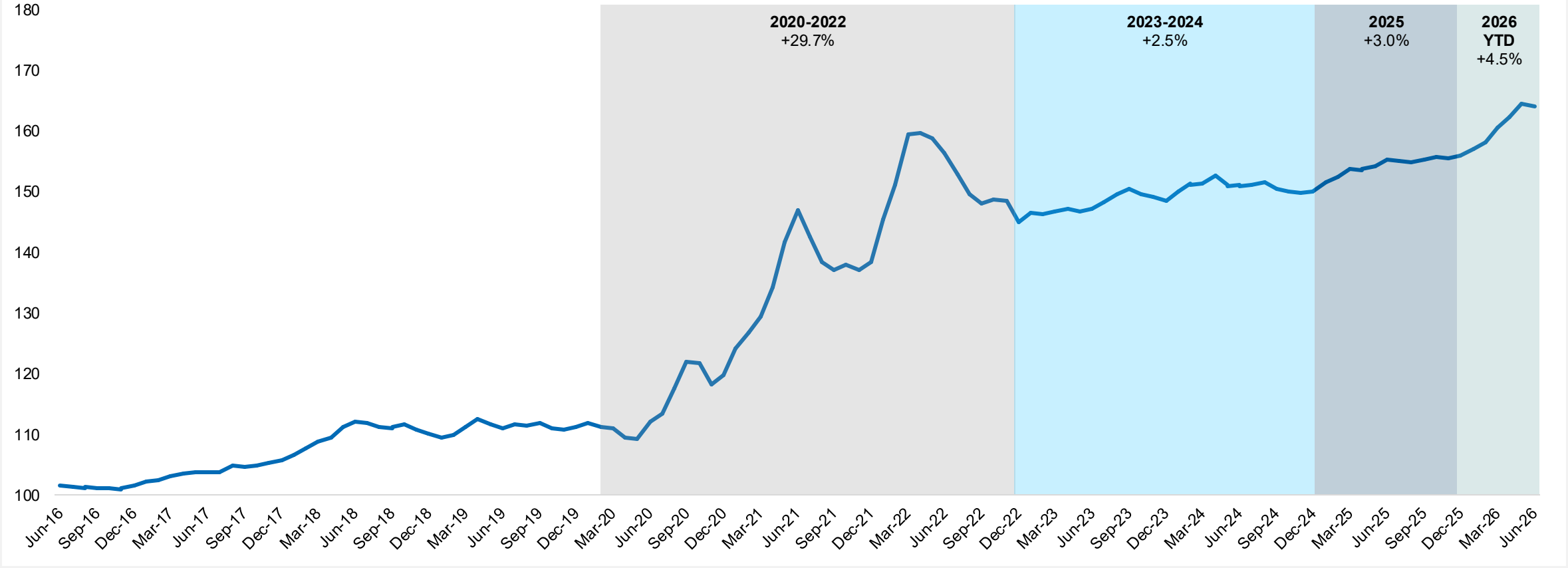


Source: Newmark, RealPage

Construction Costs Reaccelerate, Adding to Starts' Headwinds

After moderating to just 2.5% growth in 2023–2024, net construction input costs have reaccelerated to 4.5% year-to-date in 2026 and 5.7% year-over-year. This renewed cost pressure adds another likely contributor to the construction pullback.

Producer Price Index by Commodity: Net Inputs to Multifamily Residential Construction (ex- Capital Investment, Labor & Imports)

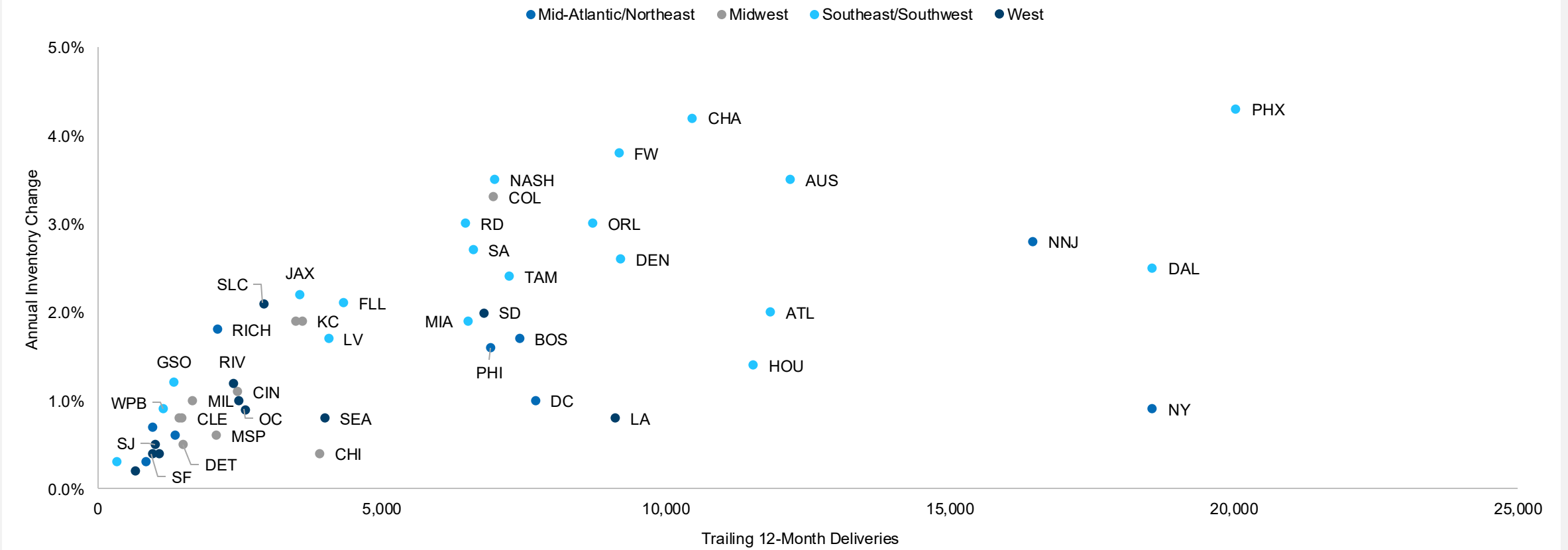


Source: Newmark Research, U.S. Bureau of Labor Statistics, Federal Reserve Bank of St. Louis

Sun Belt Markets See Largest Inventory Growth Gains Year-over-Year

In the second quarter of 2026, Phoenix led the top 50 markets in both annual inventory growth, at 4.3%, and trailing 12-month deliveries, at just over 20,000 units. By contrast, New York added nearly 19,000 units over the same period, yet posted inventory growth of just 0.9%.

Trailing 12-Month Deliveries & Inventory Change; Top 50 Markets

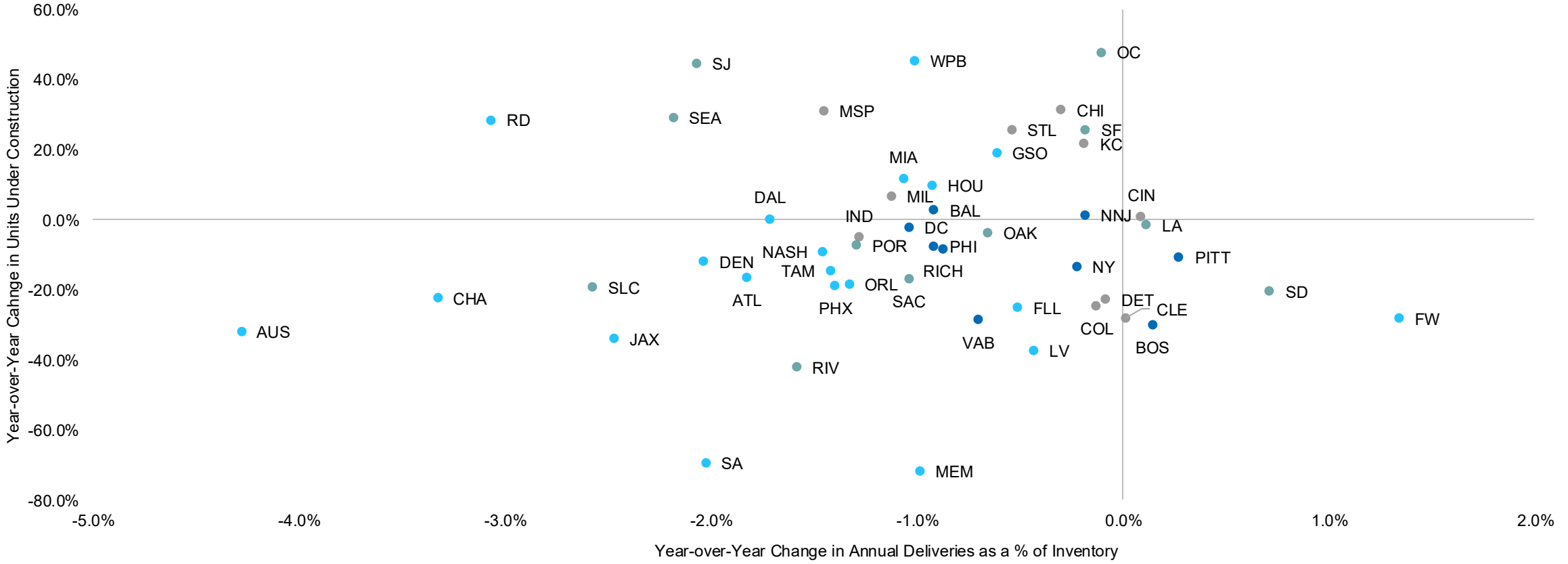


Source: Newmark Research, RealPage

Delivery Rates Are Rising in a Few Markets, but Construction Pipelines Keep Shrinking

Of the top 50 markets, Cincinnati is the only one where both the delivery rate as a share of inventory and units under construction rose year over year, though the increases are negligible. Six other markets, Fort Worth, San Diego, Pittsburgh, Boston, Los Angeles and Cleveland, saw the delivery rate as a percentage of inventory tick up year over year, but all six still saw units under construction decline over the same period. This underscores how broadly supply growth is decelerating across the top markets, with Cincinnati standing alone as a true exception.

Year-over-Year Change in Units Under Construction and in Annual Deliveries as a % of Inventory; Top 50 Markets

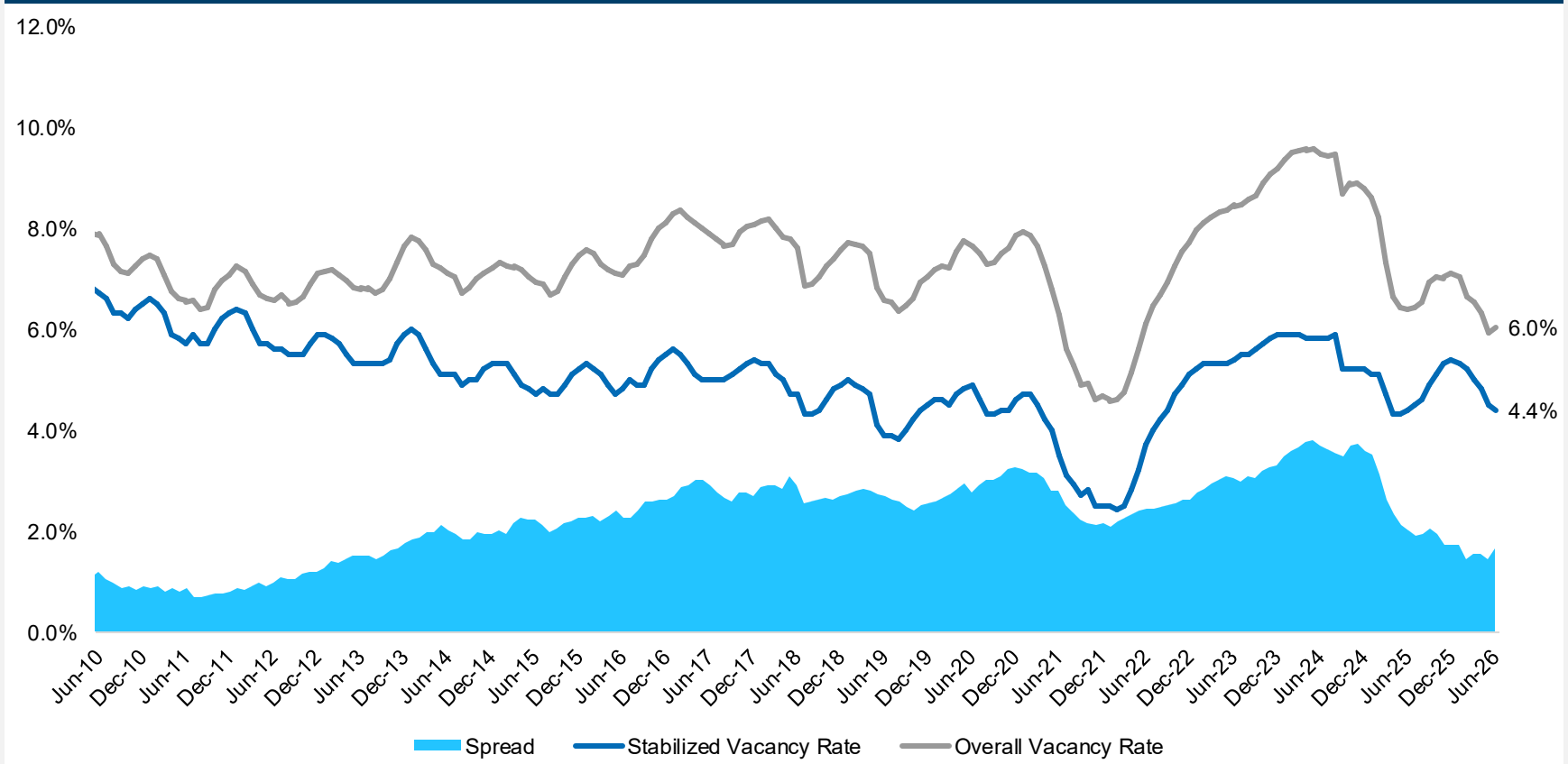


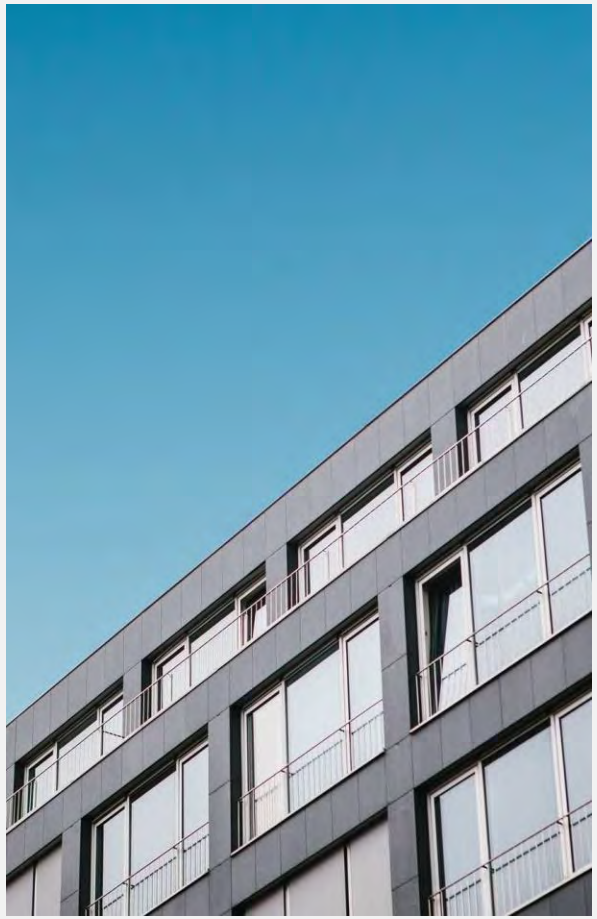
Source: Newmark Research, RealPage

Stabilized Vacancy Has Trended Downward for Six Consecutive Months

Stabilized vacancy fell again in June to 4.4%, extending its downward trend to six consecutive months, while overall vacancy, which includes lease-up product, ticked up slightly to 6.0% from 5.9%. This widened the spread between the two to 160 basis points, though overall vacancy still improved 40 basis points year-over-year.

Stabilized & Overall Vacancy Rate



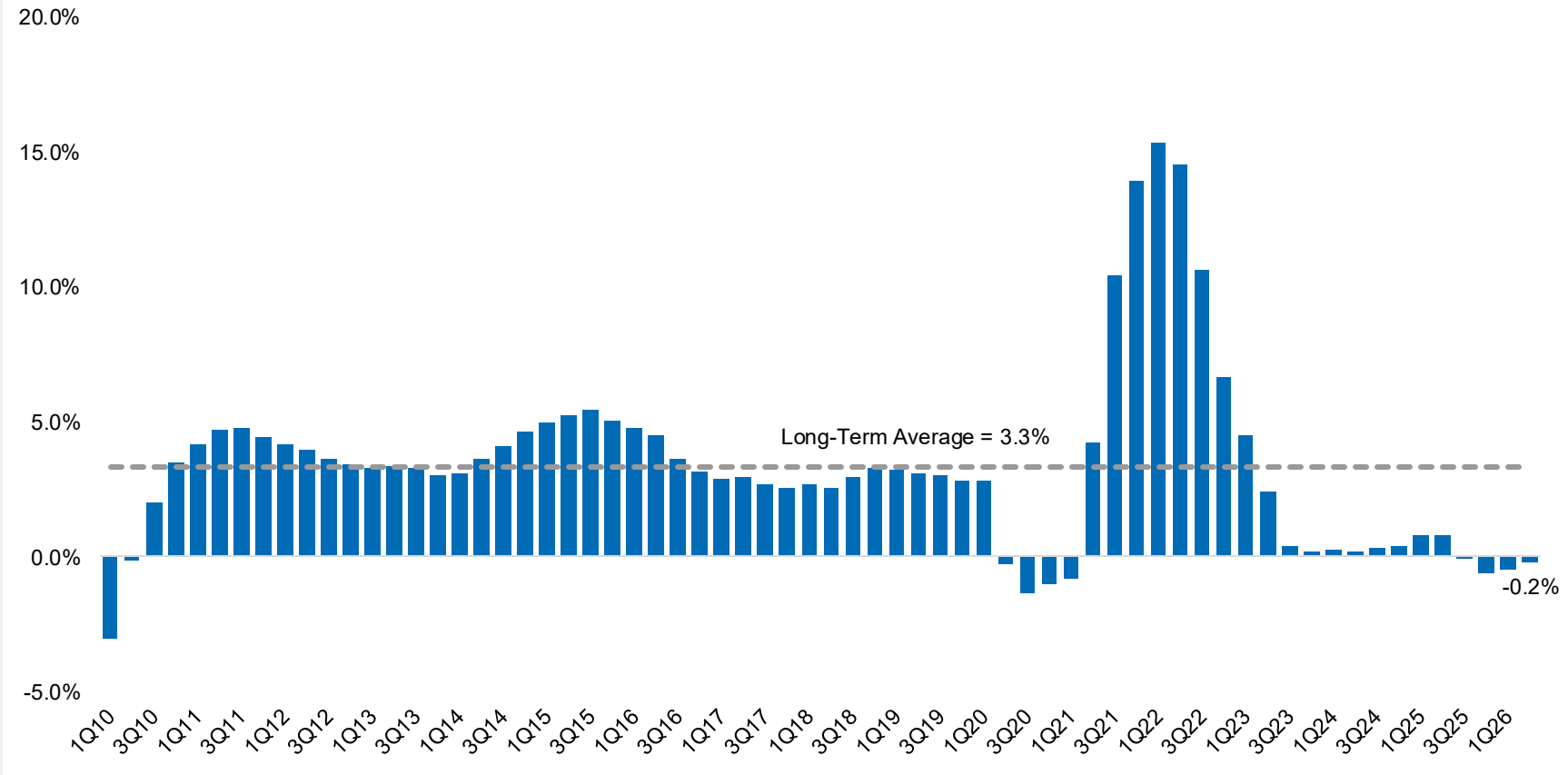


Source: Newmark Research, RealPage

Rent Declines Persist for a Fourth Straight Quarter, but the Losses Are Shrinking

Year-over-year effective rent change nationally has now been negative for four consecutive quarters, though the magnitude of decline has shrunk over the past two quarters. This gradual improvement is consistent with forecasts that national rent growth will return to positive territory by the fourth quarter of 2026.

Year-over-Year Effective Rent Change



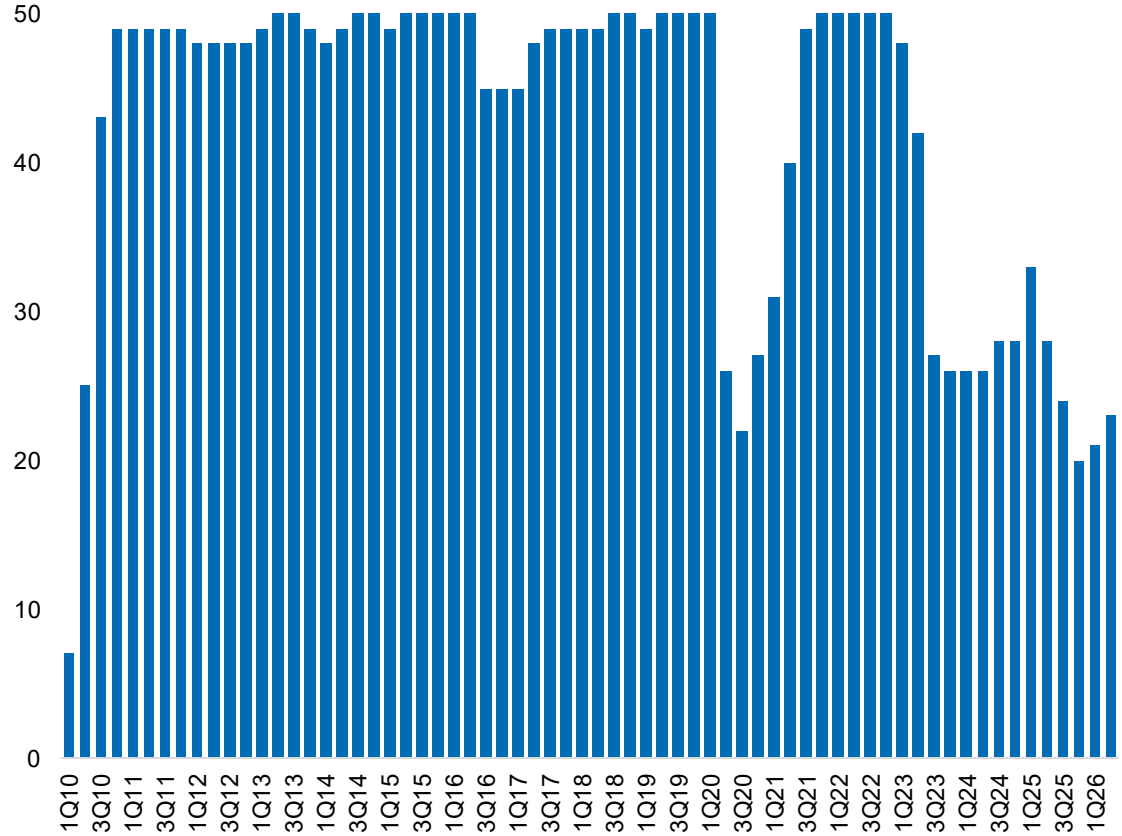


Source: Newmark Research, RealPage

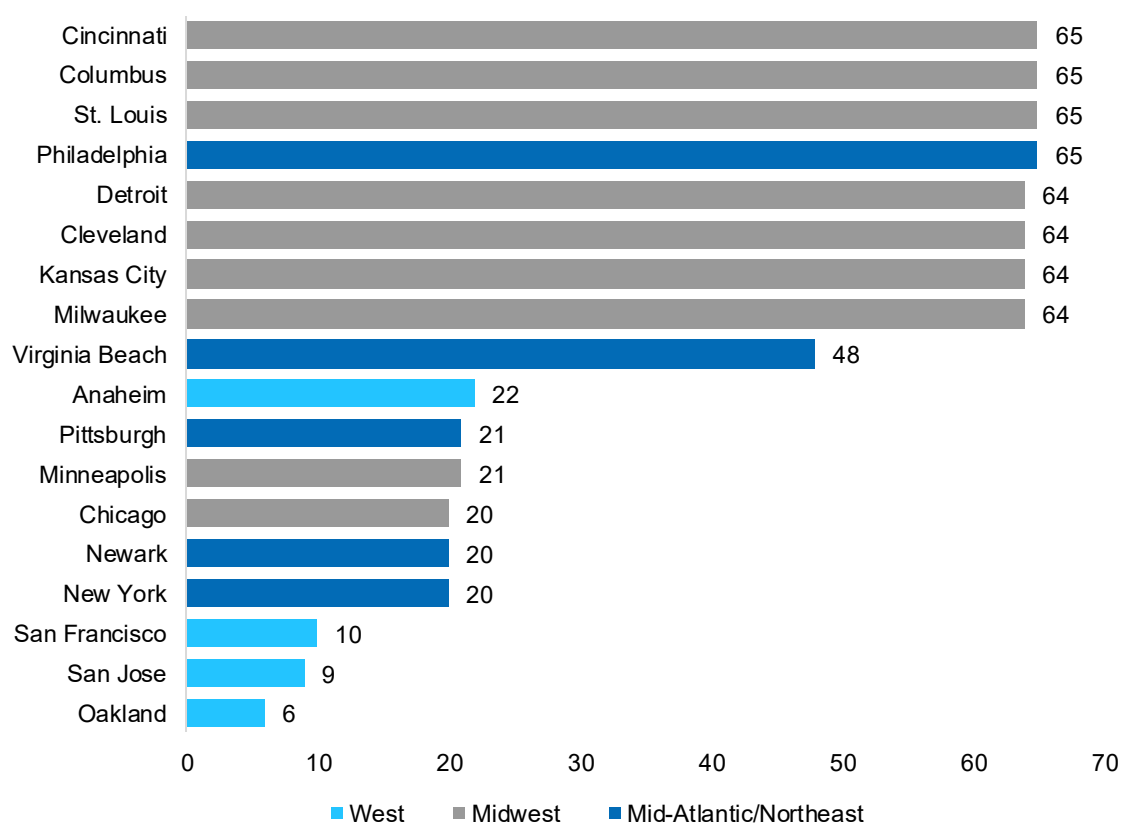
23 of 50 Markets Post Positive Rent Growth, While Others Have Been on an Extended Run

As of the second quarter of 2026, 23 of the top 50 markets posted positive year-over-year rent change, marking the second consecutive quarterly increase since bottoming out in the fourth quarter of 2025. Cincinnati, Columbus, St. Louis, and Philadelphia have posted positive rent growth for an unbroken 65 consecutive quarters, with Detroit, Cleveland, Kansas City, and Milwaukee close behind at 64.

Number of Markets with Y-o-Y Positive Rent Change; Top 50 Markets



Markets with Consecutive Y-o-Y Positive Rent Change*; Top 50 Markets

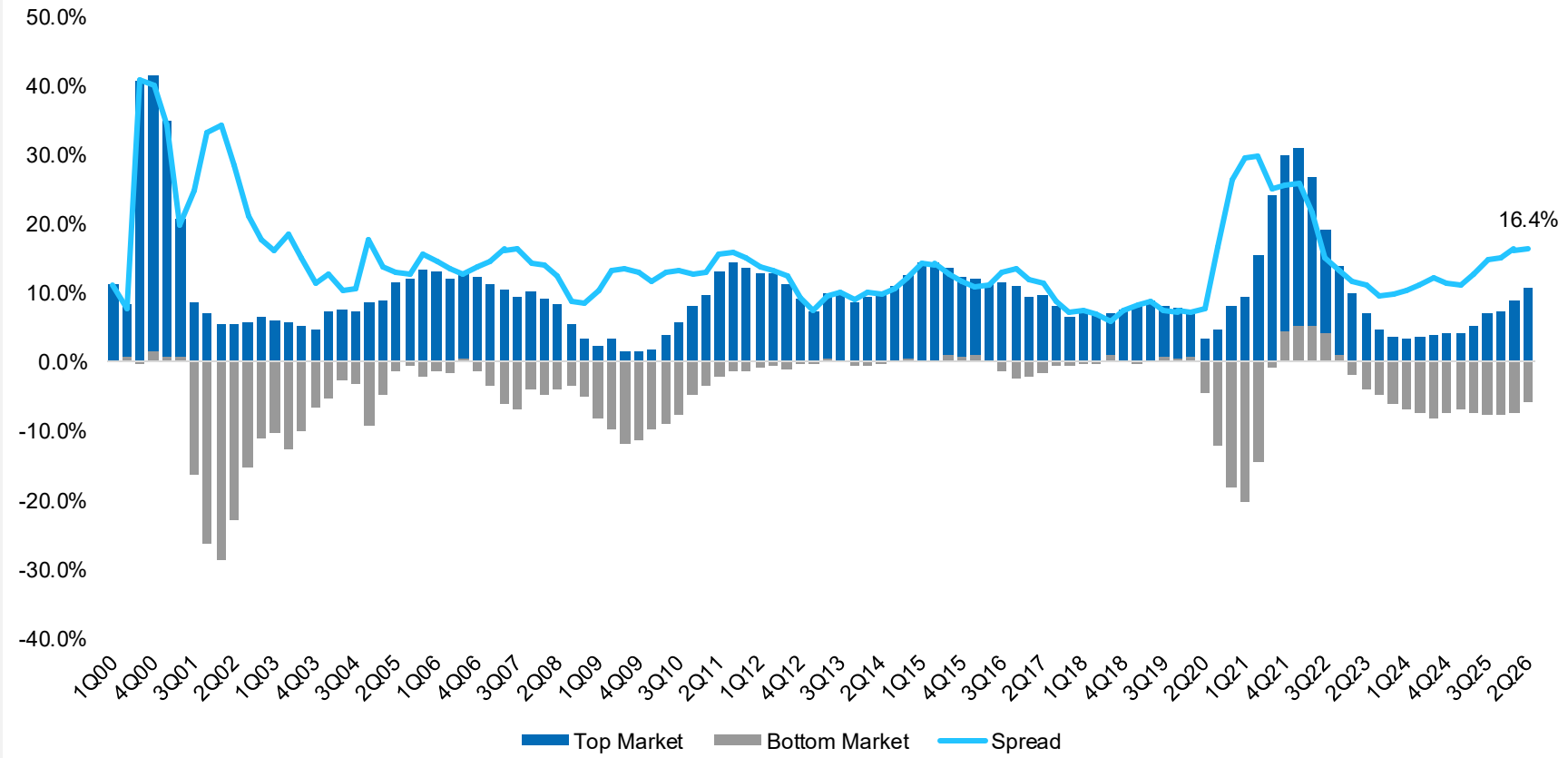


Source: Newmark Research, RealPage
Minimum of five quarters.

Market Dispersion Expands as Top and Bottom Performers Pull Apart

The spread between the top and bottom performing markets has widened to 16.4% as of the second quarter, extending a trend that began in the third quarter of 2023. As the gap between winners and laggards grows, market selection becomes as much about avoiding the weakest performers as chasing the strongest ones.

Variance in Year-over-Year Effective Rent Change Among the Top 50 Markets



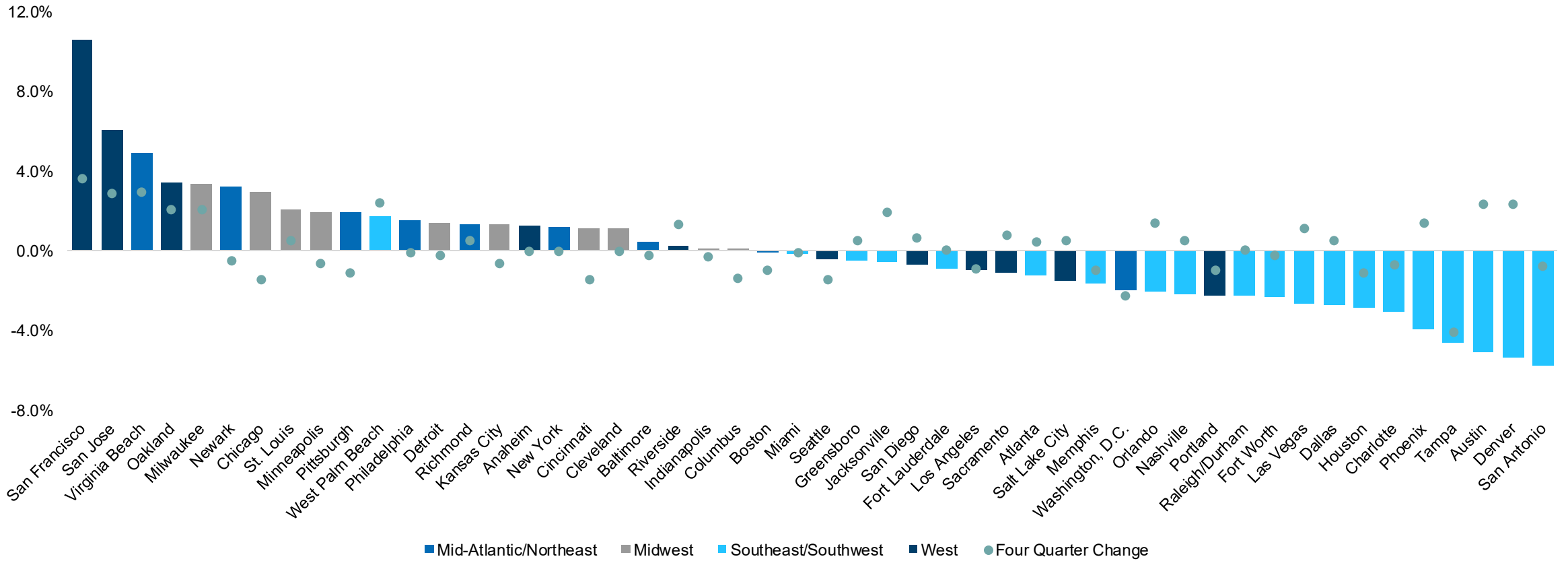


Source: Newmark Research, RealPage

Momentum Diverges as Sun Belt Markets Show Signs of Bottoming

San Francisco posted both the strongest rent growth (10.6%) and the largest four-quarter improvement (+3.6%), followed closely by San Jose and Virginia Beach, each up 2.9%. Notably, Denver and Austin also rank among the biggest momentum gainers, up 2.3% each, suggesting these markets may be bottoming out.

Year-over-Year Effective Rent Change and Four Quarter Change; Top 50 Markets

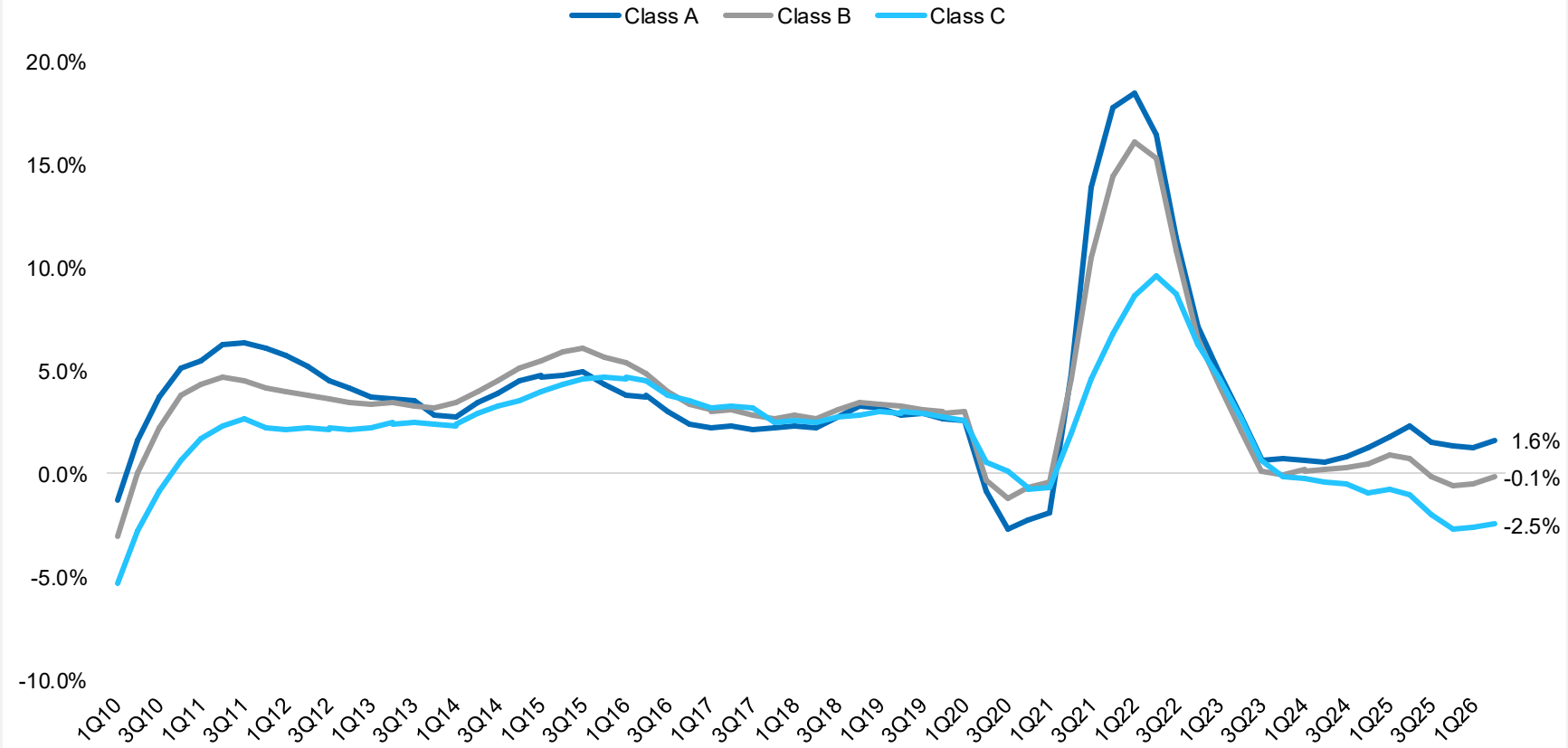


Source: Newmark Research, RealPage

Class A's Dominance Streak Hits 21 Quarters as the Class Spread Widens

Class A rent growth has now outperformed Class B for 21 consecutive quarters, while Class C has posted negative year-over-year rent change for 11 straight quarters. This underscores a durable, multi-year flight to quality among renters. Even so, all three classes saw a quarter-over-quarter pickup in the second quarter of 2026, with Class A reaccelerating to 1.6% and Class B improving 40 basis points. The gap between Class A and Class C still widened to 410 basis points, the widest spread since 2022.

Year-over-Year Effective Rent Change by Class



21

Consecutive quarters in which Class A has outperformed Class B

410

Basis point gap between Class A and Class C rent change, the widest spread since 2Q22

11

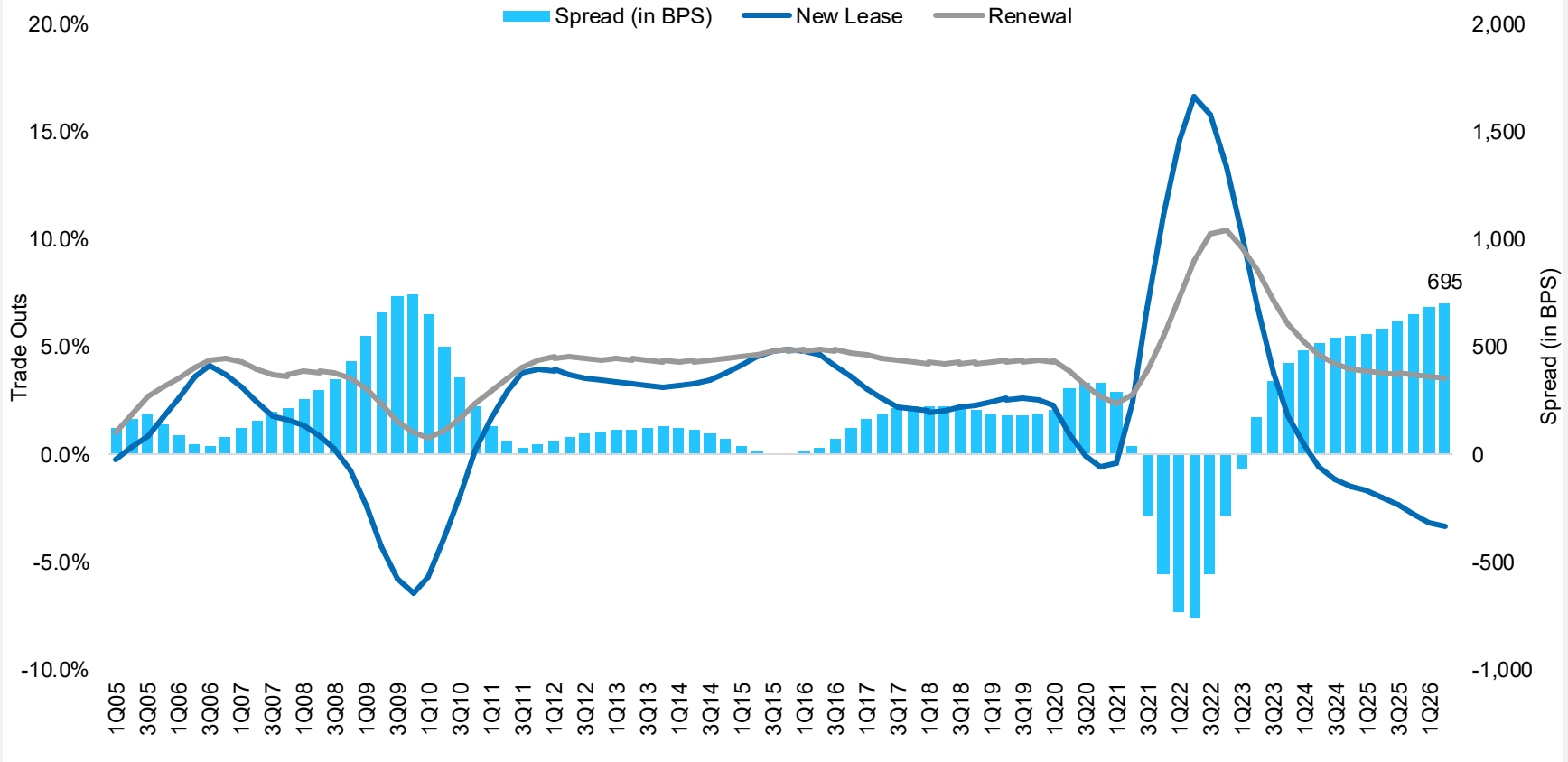
Consecutive quarters in which Class C has had negative year-over-year rent change

Source: Newmark Research, RealPage

Operators Lean on Renewals as New Lease Trade-Outs Turn Negative

Landlords are increasingly prioritizing tenant retention to preserve occupancy and capture stronger renewal pricing, as new lease trade-outs have turned negative at -3.4% while renewal rate growth holds at 3.6%. This 695 basis point spread is the widest gap in favor of renewals since 2009, underscoring just how much more attractive retaining existing residents has become relative to chasing new leases in the current environment.

New Lease and Renewal Trade Outs; Rolling Four Quarter Average



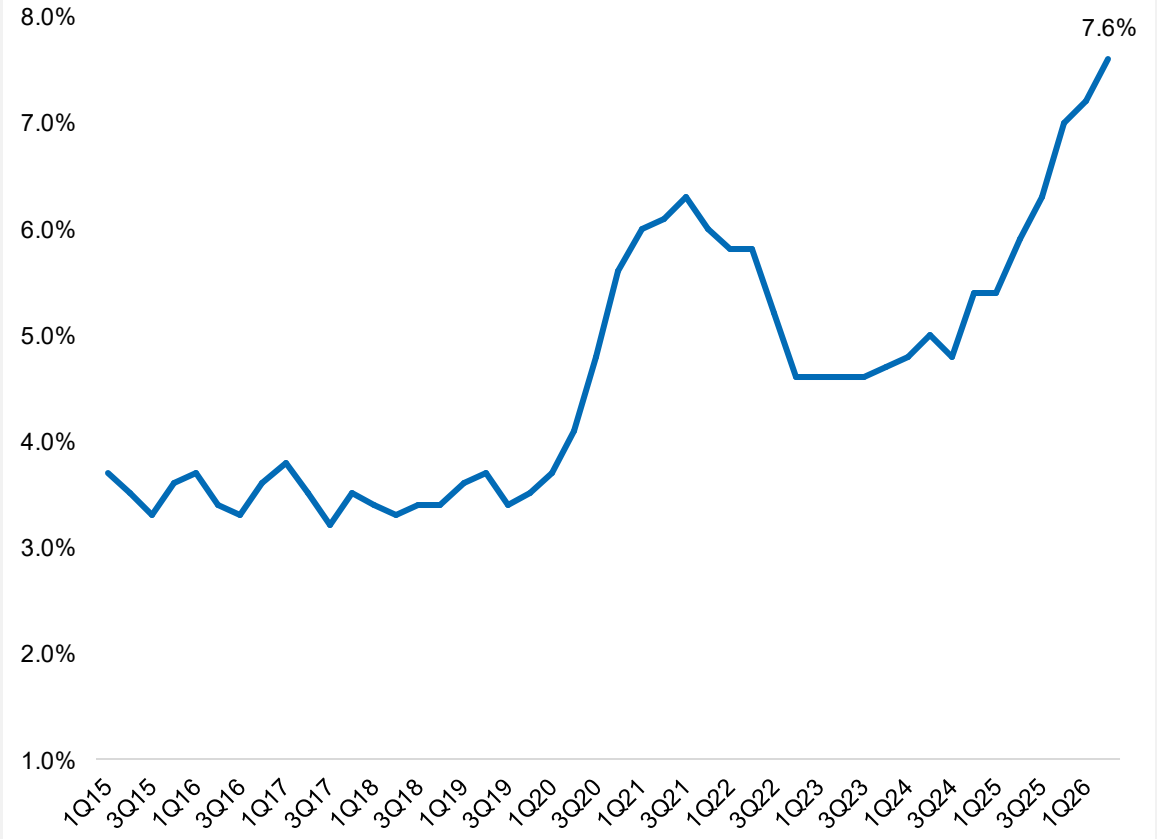


Source: Newmark Research, RealPage

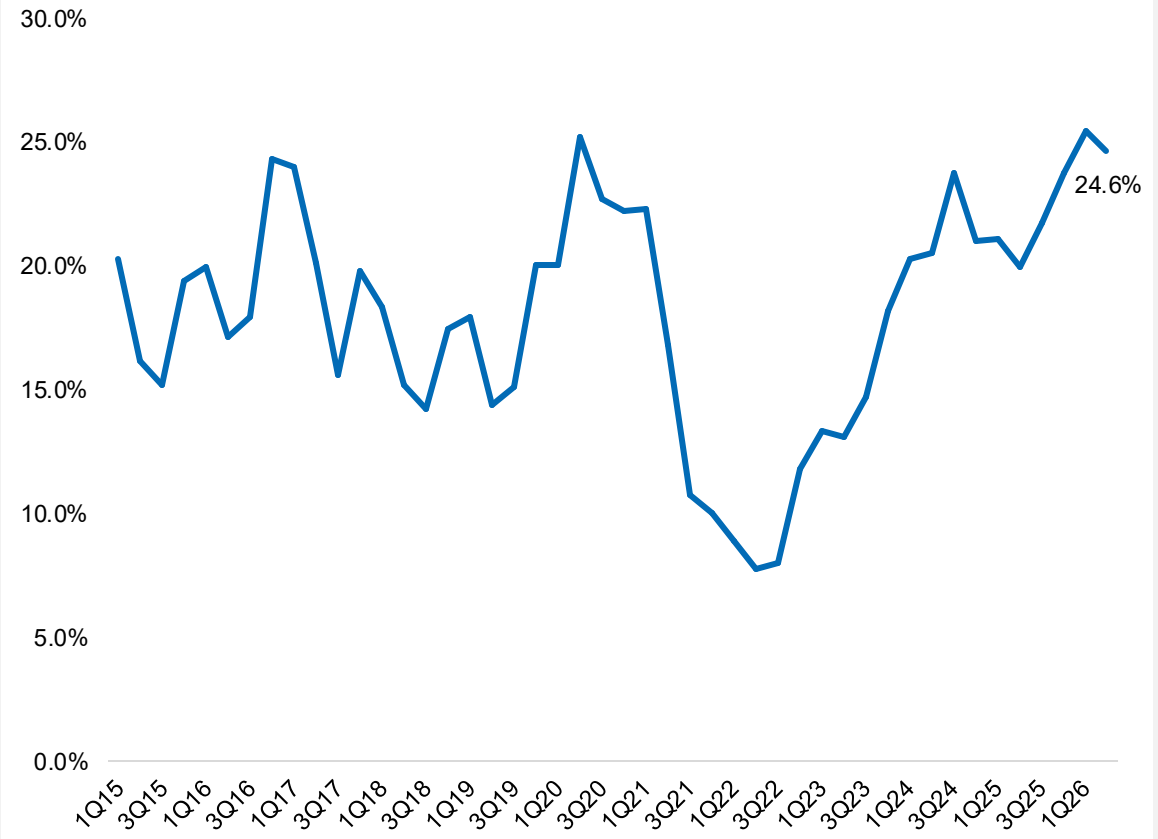
Concessions Climb to Highest Levels Since 2015 as Landlords Compete for Renters

Concessions have climbed to 7.6% of asking rents as of the second quarter, the highest level since 2015 and a sharp acceleration from the 4.6% trough reached in early 2023. At the same time, 24.6% of units are now offering concessions, near the cycle high of 25.4%, indicating that both the size and breadth of concessions are increasing simultaneously as landlords compete to fill units amid elevated supply.

Concessions (as a Percentage of Asking Rents)



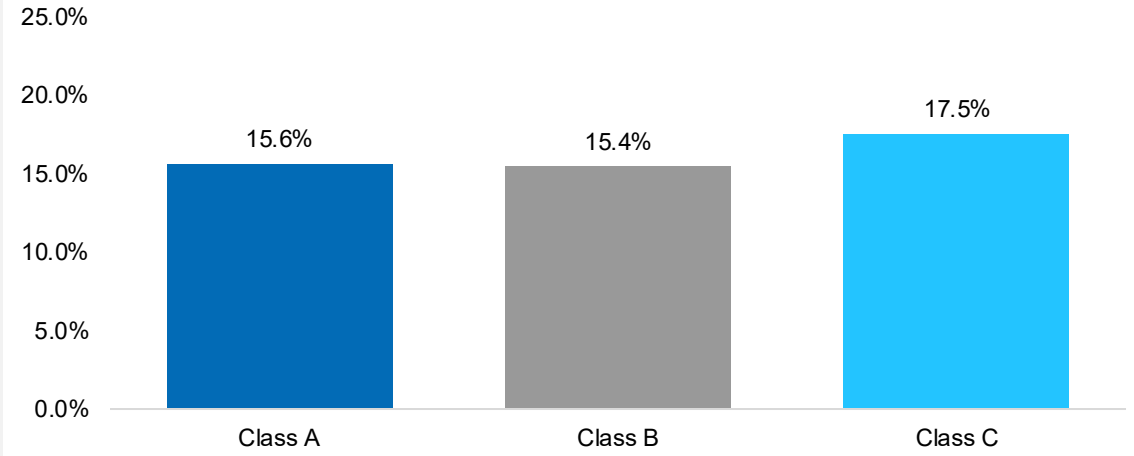
Percentage of Units Offering Concessions



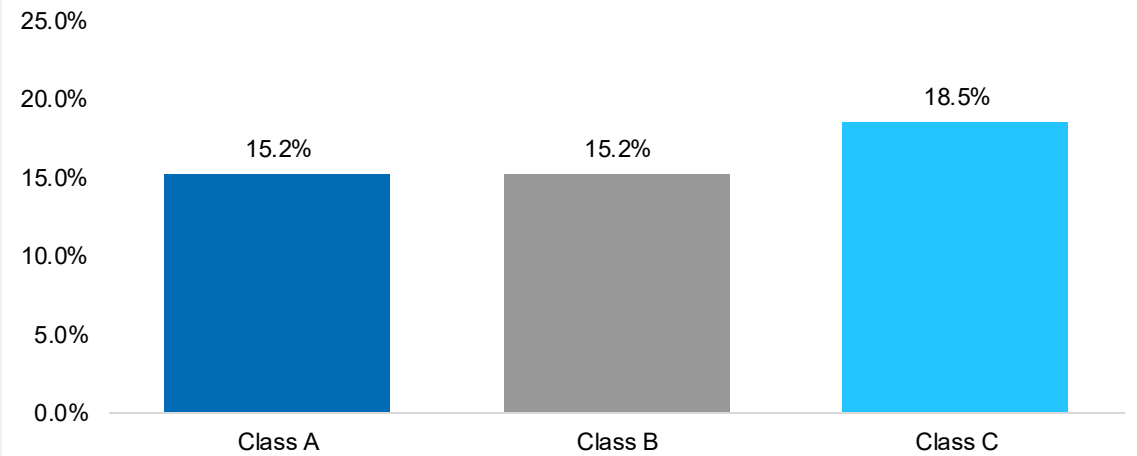
Source: Newmark Research, RealPage

Class C Leads Concession Usage in Every Region, but the South Stands Out

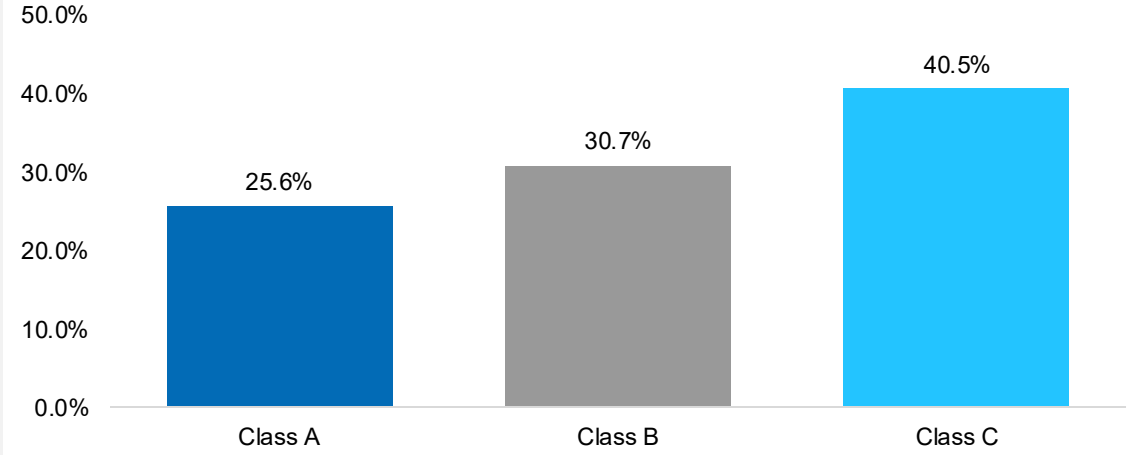
Percentage of Units Offering Concessions by Class & Region: Midwest



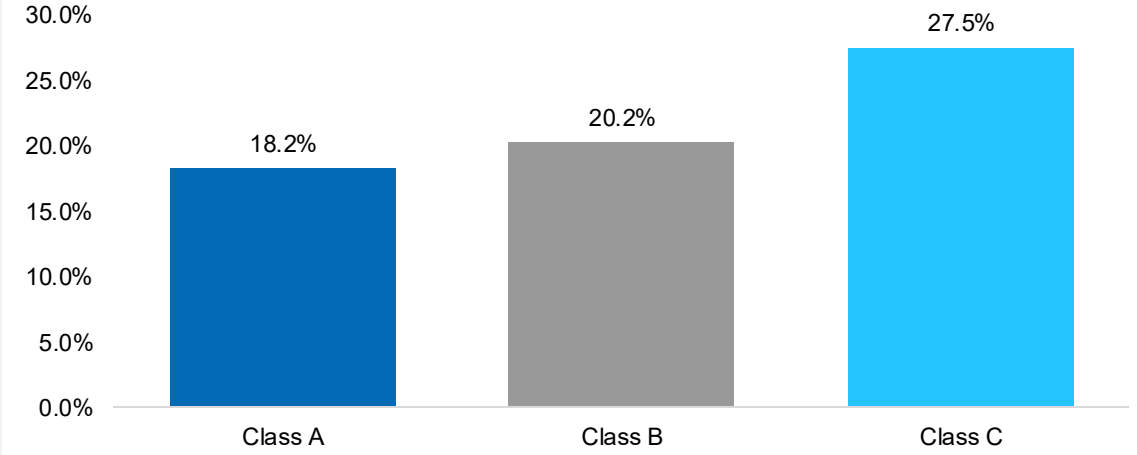
Percentage of Units Offering Concessions by Class & Region: Northeast



Percentage of Units Offering Concessions by Class & Region: South



Percentage of Units Offering Concessions by Class & Region: West



Source: Newmark Research, RealPage

03

Debt Capital Markets

2Q26

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Newmark Scenario Weighted 10-Year Treasury Yield at 4.4%

Markets constantly weigh different narratives about the future, with each new data point reshaping the odds across various scenarios. In today's low conviction market, even small amounts of data can produce quantum shifts in the dominant narrative, producing nonlinear changes in market pricing. Markets are sorting through the avalanche of policy announcements and changes that will materially change the U.S. economic landscape, although our dominant outcome foresees stubborn inflation alongside low but positive growth. Newmark Research's probability-weighted scenarios suggest the 10-year Treasury is fairly valued in a trading range around 4.4%.

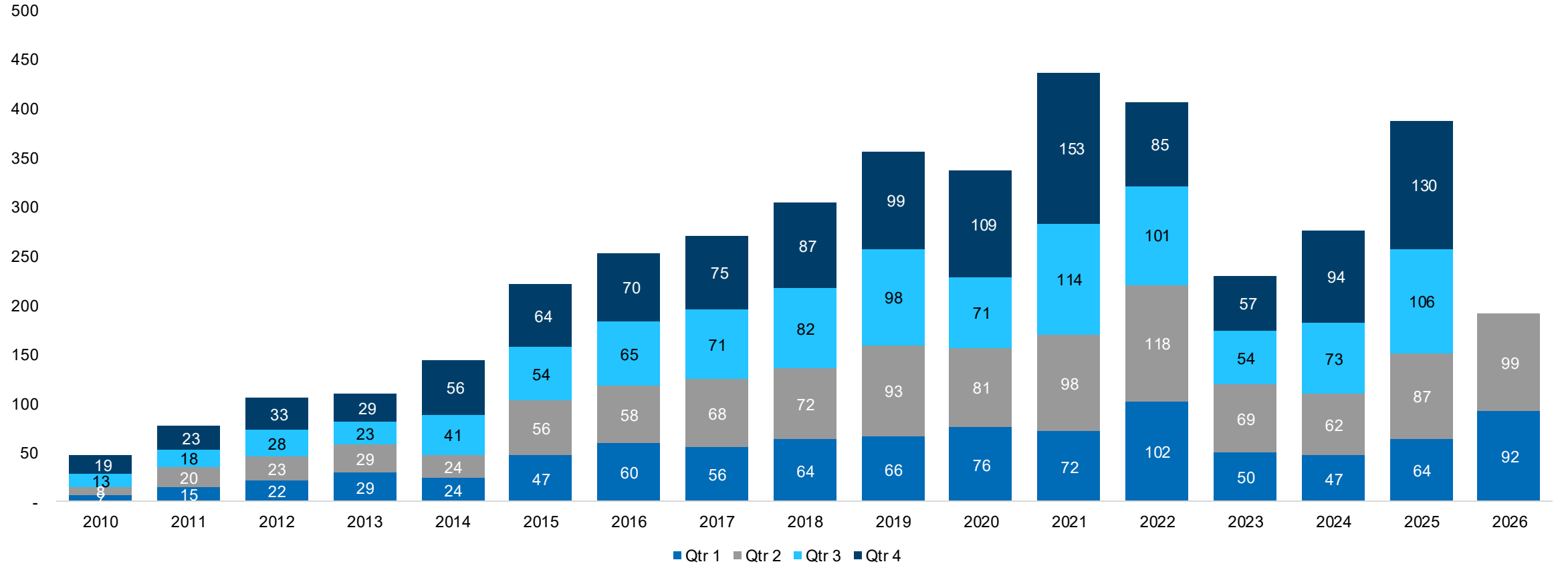
Narrative	Definition	Fed Funds (Upper) in 12 Months	Long-term Fed Funds	10Y Treasury	Credit Spreads (vs. Current)	NMRK Research Probability (NTM)
Inflation Accelerating, Low Growth (Stagflation)	Inflation Rising, >2.5% GDP Growth < 2.0%	4.25% to 5.00%	4.00% to 5.00%	5.00% to 5.50%	Narrower (slightly)	25%
Inflation Stubborn, Low Growth (Decaf Stagflation)	Inflation Stable > 2.5% GDP Growth < 2.0%	3.50% to 4.25%	3.00% to 4.00%	4.25% to 4.75%	Flat	35%
Inflation Stubborn, Growth Moderate (AI Exuberance)	Inflation Stable > 2.5% GDP Growth > 2.0%	3.75% to 4.25%	3.50% to 4.50%	4.25% to 5.00%	Narrower (slightly)	15%
Recession	Inflation <=2.0% Unemployment > 5.5%	0.00%	2.00% to 3.00%	2.75% to 3.75%	Much Wider (esp. if no QE)	20%
Goldilocks	Inflation ~2.0% GDP Growth ~2.0%	2.50% to 3.50%	3.00% to 4.00%	3.50% to 4.25%	Narrower (slightly)	5%

Source: Newmark Research as of 7/14/2026

Multifamily Debt Originations Accelerated 26% Year-Over-Year in 1H26

Activity gained momentum in the first half of 2025 and has extended through the first half of 2026, accelerating 26% year over year. Borrowers benefited from narrow loan spreads, improved confidence in fundamentals as construction slowed, and continued momentum starting in the second half of 2024.

Multifamily Debt Origination Volume* ($, Billions)

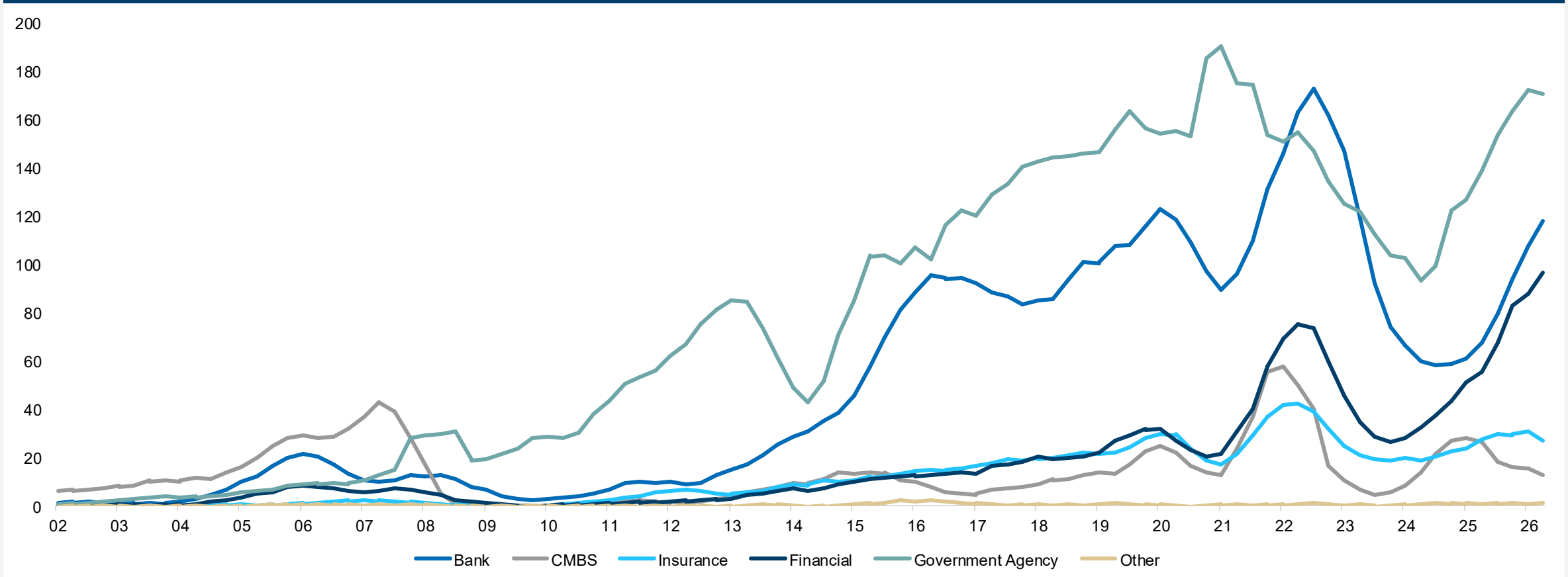


Source: RCA, Newmark Research as of 7/14/2026
Note: loan origination volumes are adjusted for future expected revisions using Newmark's proprietary models

Bank Multifamily Originations Tick Up; Debt Funds Accelerate

GSEs and banks remained the largest lenders in 2026, with 1H26 total volume up 26% year over year. Banks posted the strongest growth, with volume rising 65% year over year, while financial firms also accelerated sharply, rising 45%.

Rolling 12-Month Multifamily Loan Origination Volume; Dollars in Millions

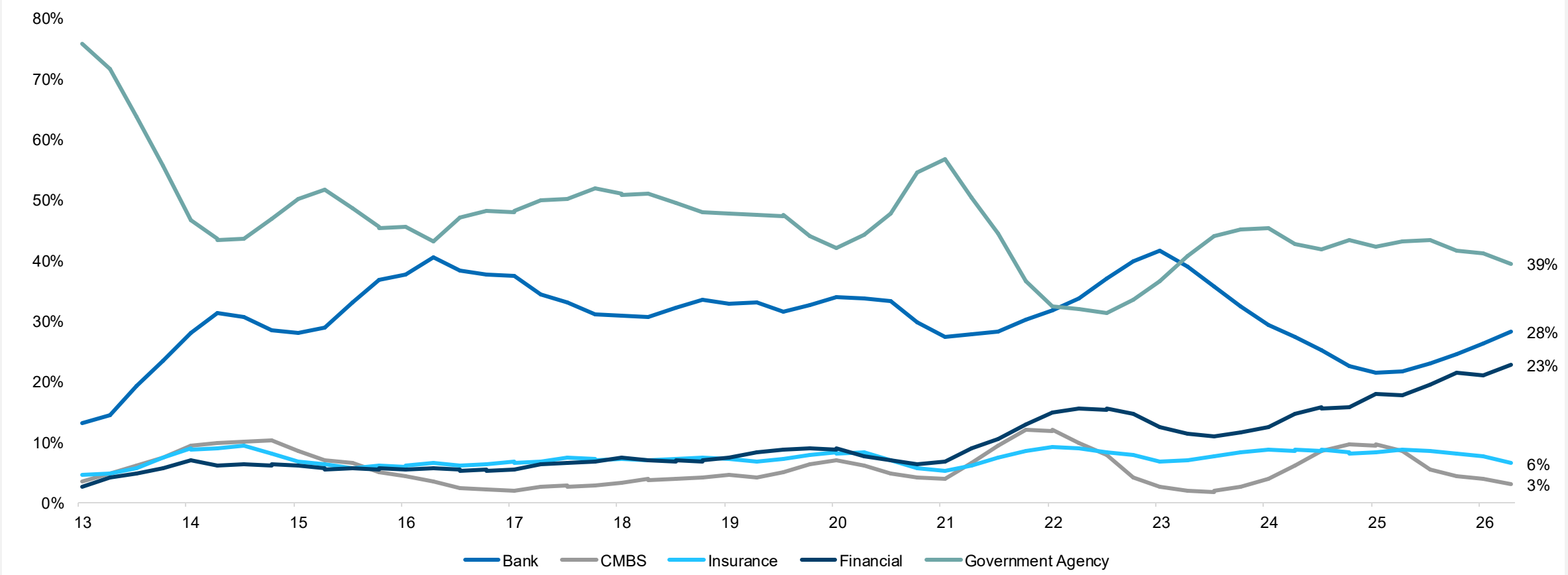


Source: RCA, Newmark Research as of 7/14/2026
Note: loan origination volumes are adjusted for future expected revisions using Newmark's proprietary models

GSEs Continue to Be Preferred Lender; Non-Bank Lenders Accumulating Market Share

GSEs continue to lead multifamily originations by market share, though their dominance has recently declined slightly. Bank participation pulled back sharply in 2023 and 2024, with market share dropping from 42% in 2023 to 21% in 2025. However, banks have been regaining some share since an uptick in 2025. Additionally, debt funds have significantly increased their activity.

Origination Share by Lender Group: Rolling 12-Month Average

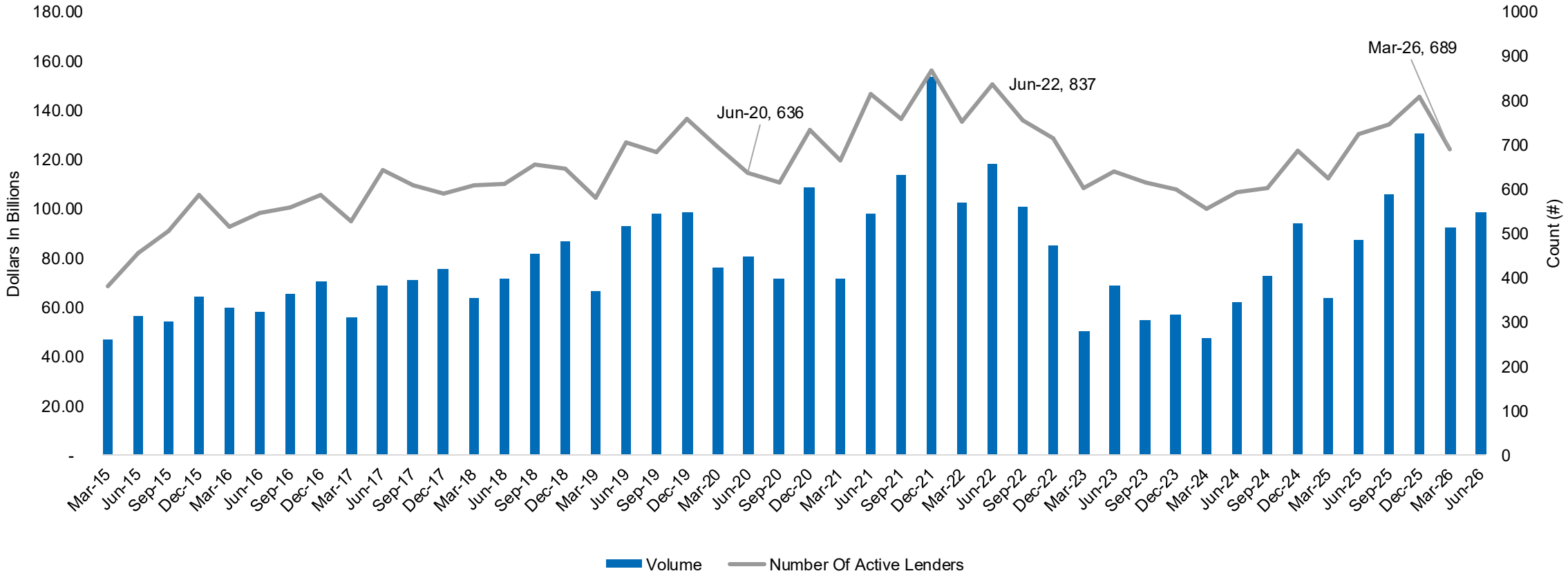


Source: RCA, Newmark Research as of 7/14/2026
Note: loan origination volumes are adjusted for future expected revisions using Newmark's proprietary models

Active Lenders In Multifamily Have Been Growing Since Early 2024

Both the number of active lenders and overall origination volume remain roughly equal to pre-pandemic levels.

Multifamily Debt Origination Volume ($, Billions)



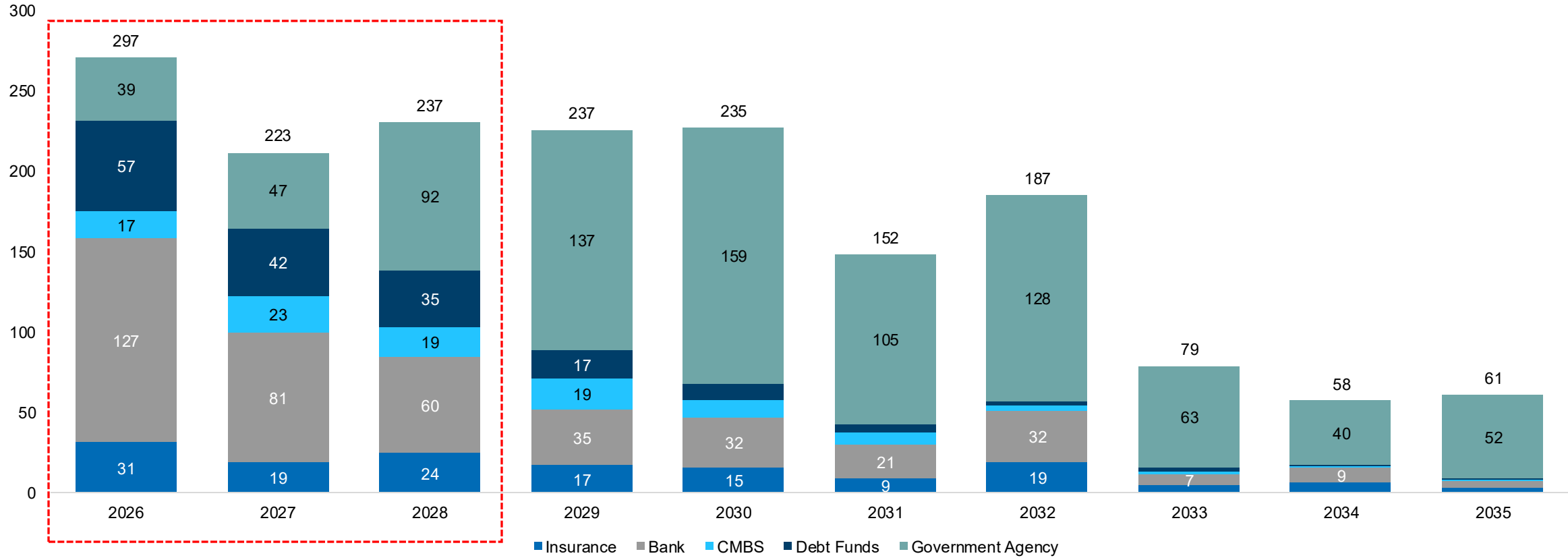
Source: RCA, Newmark Research as of 7/14/2026

Note: loan origination volumes are adjusted for future expected revisions using Newmark's proprietary models

$757 Billion in Multifamily Loans Will Mature in 2026-2028

Banks hold 23% of debt maturities from 2026 to 2034, but a disproportionately high 35% of 2026 through 2028 maturities. Debt fund maturities show a similar frontloaded pattern—18% near-term compared to 10% overall—mirroring trends in CLO-driven securitized lending. In contrast, GSE maturities are heavily backloaded.

Multifamily Loan Maturities by Lender Group*



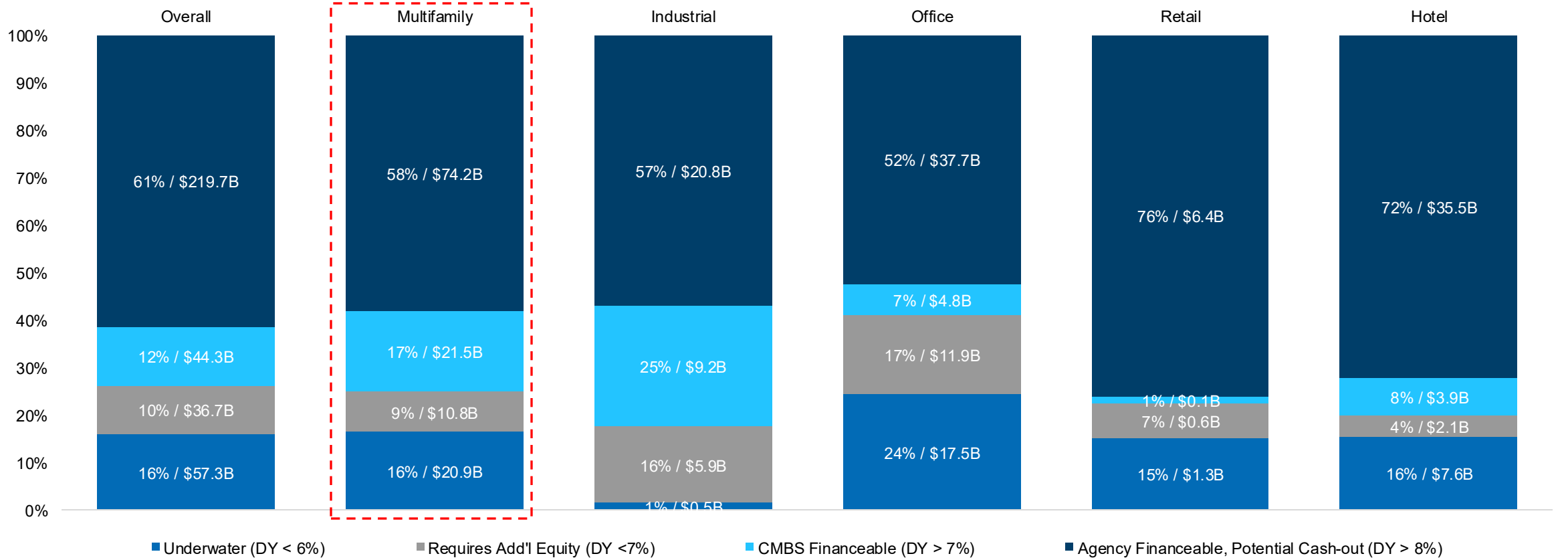
Source: MBA, Trepp, RCA, Newmark Research as of 7/14/2026

*Adjusted for year-to-date estimated loan originations

Debt Yields Point to Similar Levels of Refinancing Challenges

The share of maturing securitized loans with a debt yield of 7% or less broadly corresponds to loans in the higher risk category (DSCR < 1.25x). The distribution of debt yield is fairly uniform in multifamily, retail, and hotel, while industrial CMBS shows far less exposure to assets with a debt yield below 6%. On the other side of the spectrum, a far higher share of office has a debt yield below 6%. With 22% of office inventory in buildings less than 70% occupied, it follows distress would also be concentrated.

Debt Yield Profile of Outstanding Securitized CRE Debt Maturing Before 2028



Source: Trepp, Newmark Research as of 7/20/2026
*Only CMBS and CLOs, does not include agency

04

Investment Sales

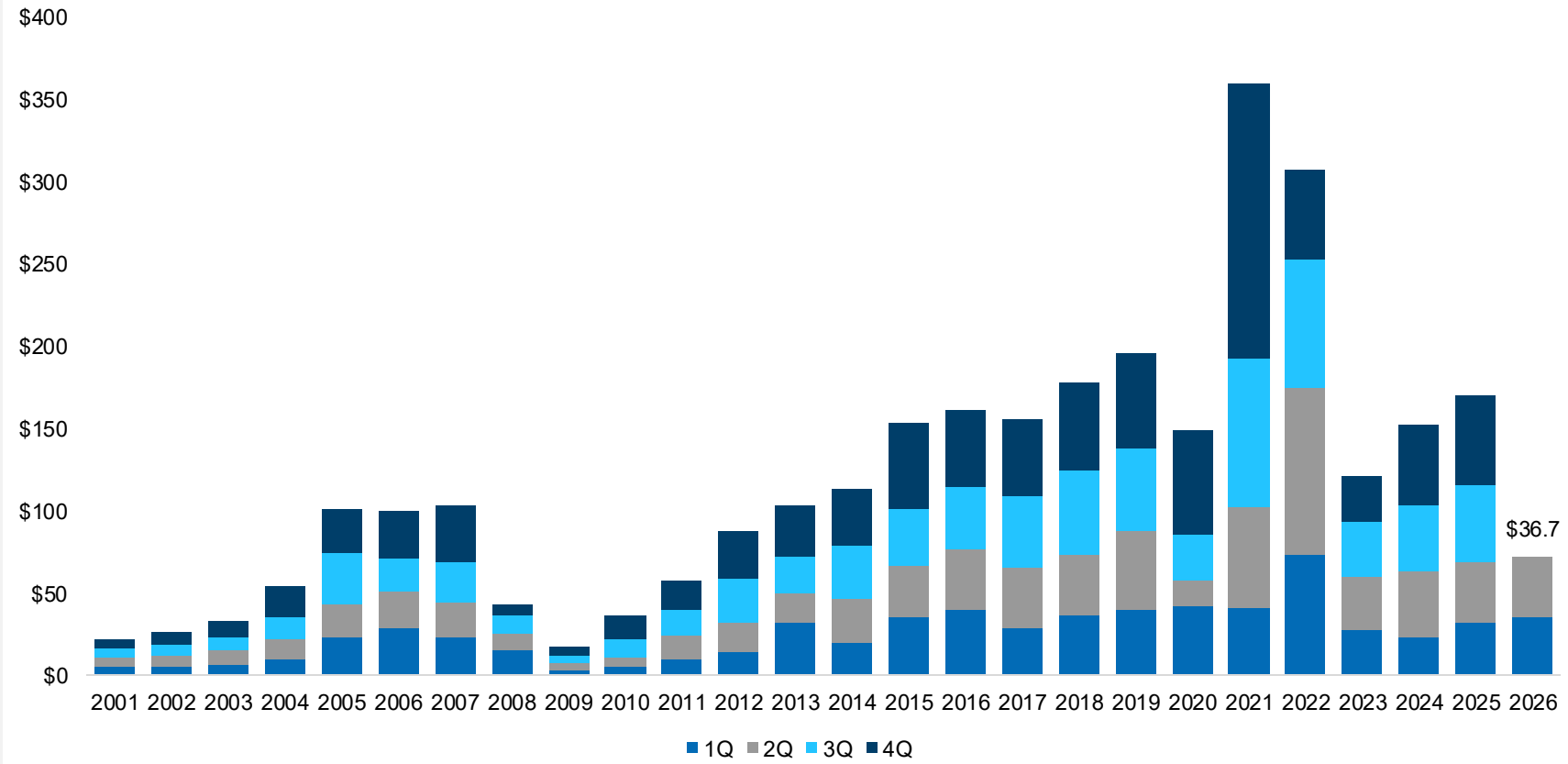
2Q26



Second-Quarter Sales Flat Year-over-Year, Yet Second-Highest Over the Past Four Years

Investment sales volume reached $36.7 billion in the second quarter of 2026, up 0.9% year over year. Comparing the trailing 12 months, volume climbed to $174.0 billion, an 11.1% increase compared with the previous 12-month period. Current first-half sales exceeded the historical first-half average by 38.3%.

Investment Sales Volume; Dollars in Billions



+0.9%

Year-over-year change in quarterly sales volume.

+11.1%

Change in trailing-12-month sales volume vs. prior 12 months.

+38.3%

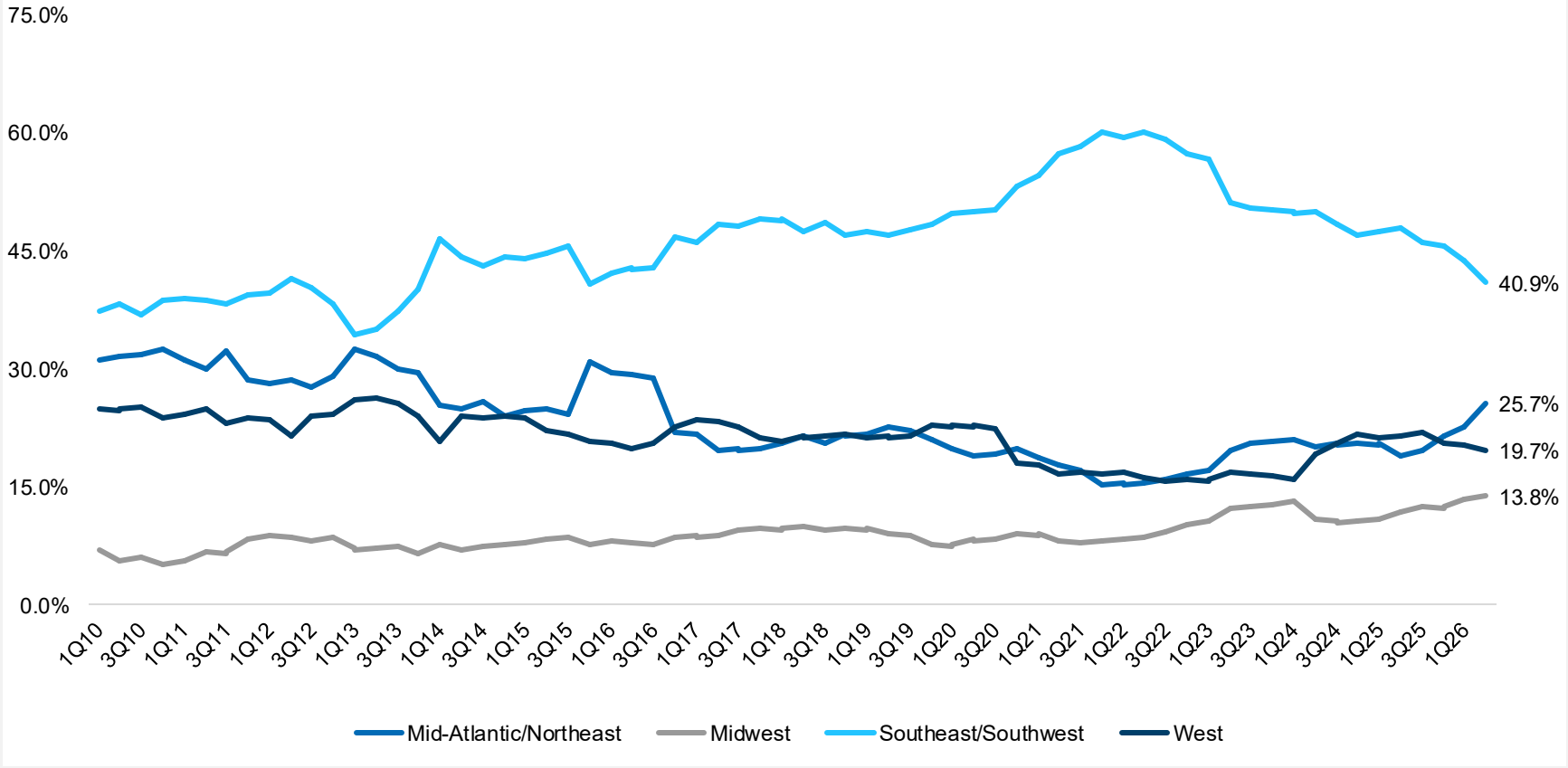
Change in 1H26 sales vs. historical first-half average.

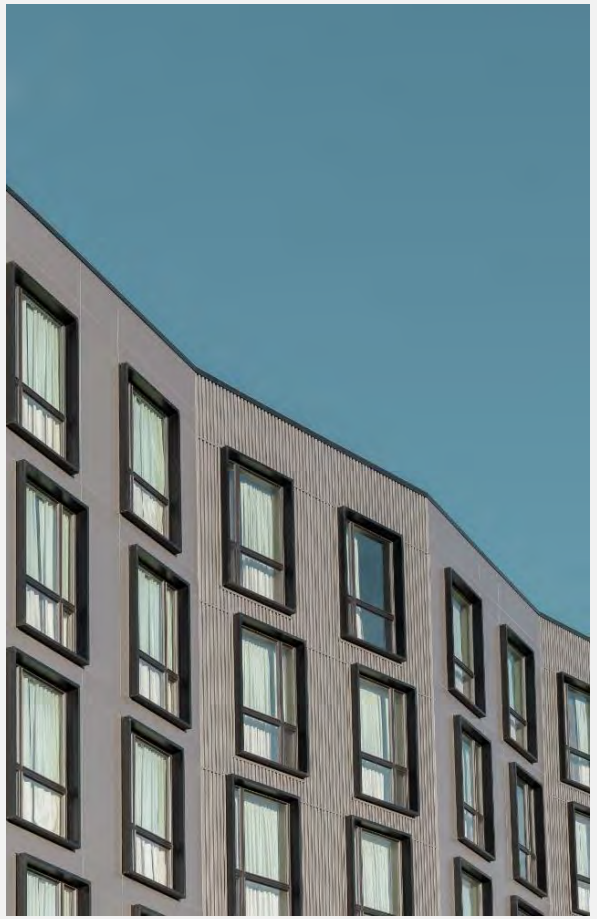
Source: Newmark Research, MSCI Real Capital Analytics

Sun Belt Still Leads, but Mid-Atlantic/Northeast Gains Ground

Investors continue to allocate capital in Southeast and Southwest markets, which together account for 40.9% of market share. The Mid-Atlantic/Northeast, representing 25.7% of investment volume, has seen its share rise 6.8% year-over-year, and it now sits 23.6% above its long-term average. This reflects growing investor appetite in stable, less supply burdened markets.

Sales Volume Market Share by Region; 12 Month Totals



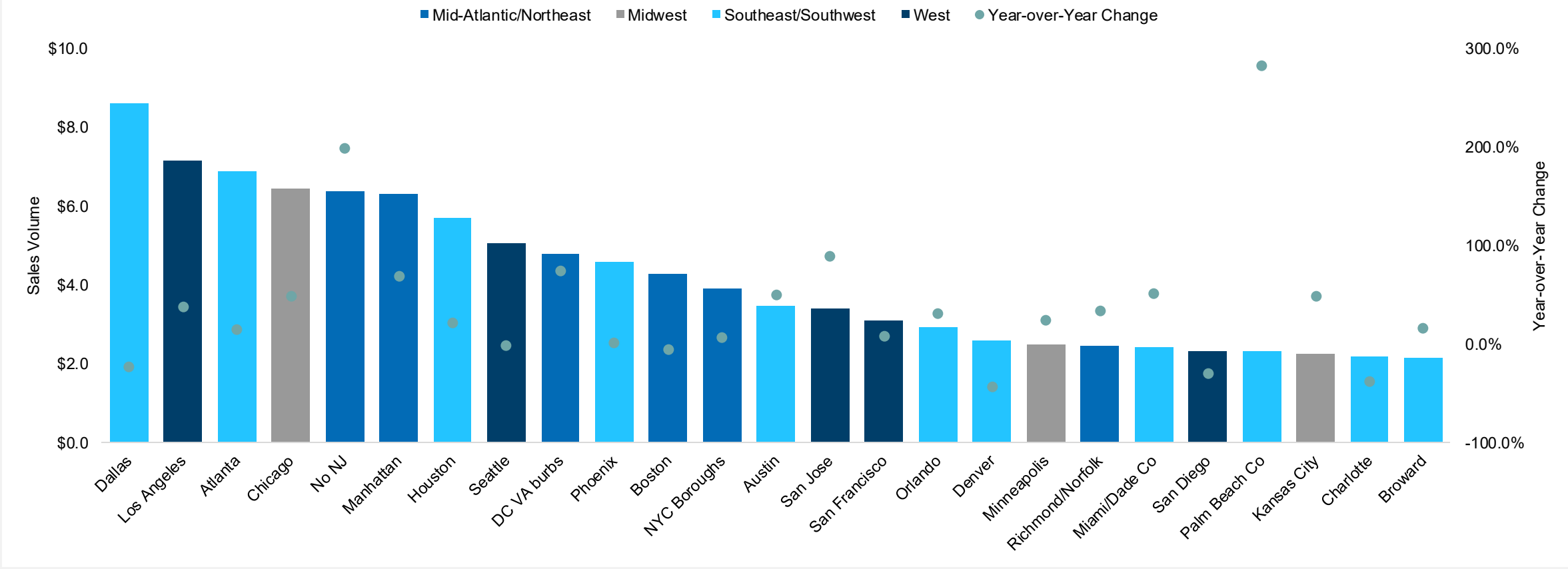


Source: Newmark Research, MSCI Real Capital Analytics

Dallas Leads on Volume, but Palm Beach and Northern NJ See the Strongest Gains

Dallas, Los Angeles, and Atlanta lead all markets in trailing 12-month sales volume, each topping $6.8 billion, with the Sun Belt and West Coast accounting for the bulk of the top 10. Year-over-year, however, Palm Beach County and Northern New Jersey posted the sharpest gains at 282.1% and 198.0%, respectively, while volume leader Dallas actually saw volume decline. This suggests capital is broadening, even as absolute dollars remain concentrated in a handful of metros.

Top 25 Markets for Trailing 12-Month Sales Volume and Year-over-Year Change; Dollars in Billions

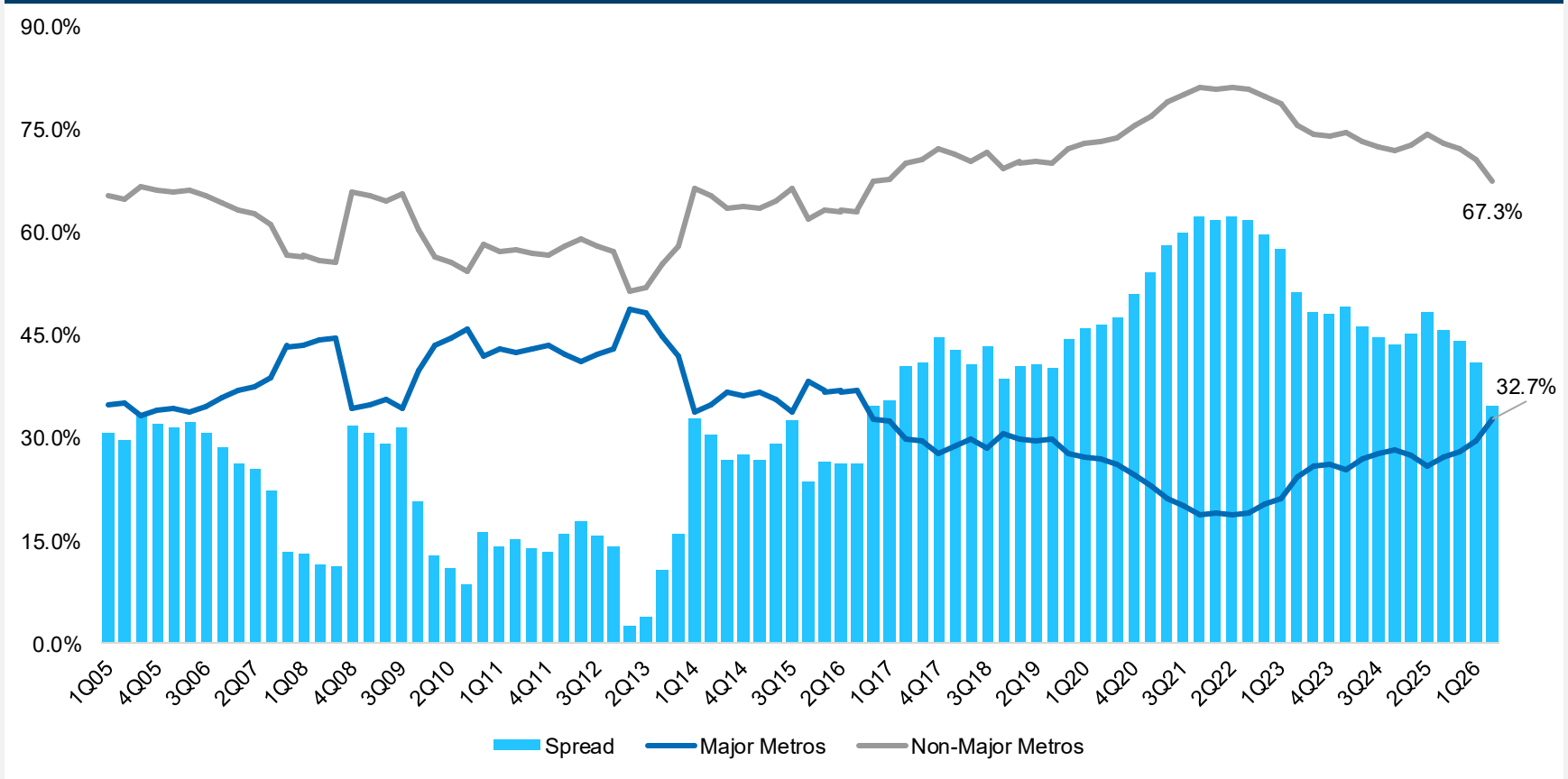


Source: Newmark Research, MSCI Real Capital Analytics

Major Metro Share Hits a 9-Year High

Capital is rotating toward major metros, whose share of 12-month sales volume has risen for four straight quarters to 32.7% in 2Q26. The spread versus non-major metros narrowed to 34.7%, the tightest gap in 38 quarters, reflecting stronger relative fundamentals in supply-constrained markets.

Sales Volume Market Share by Market Tier; 12 Month Totals





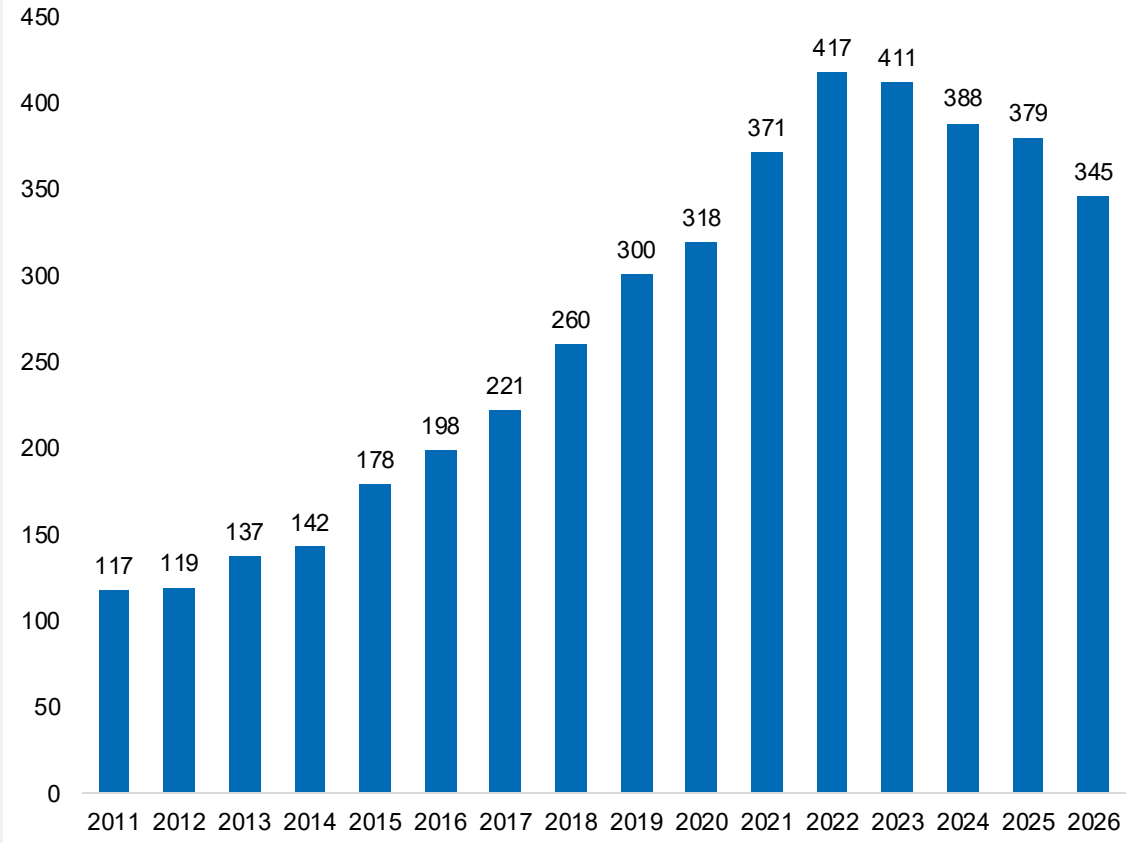
Source: Newmark Research, MSCI Real Capital Analytics

**Major metros are defined as Boston, Chicago, Los Angeles, New York, San Francisco and Washington, D.C.*

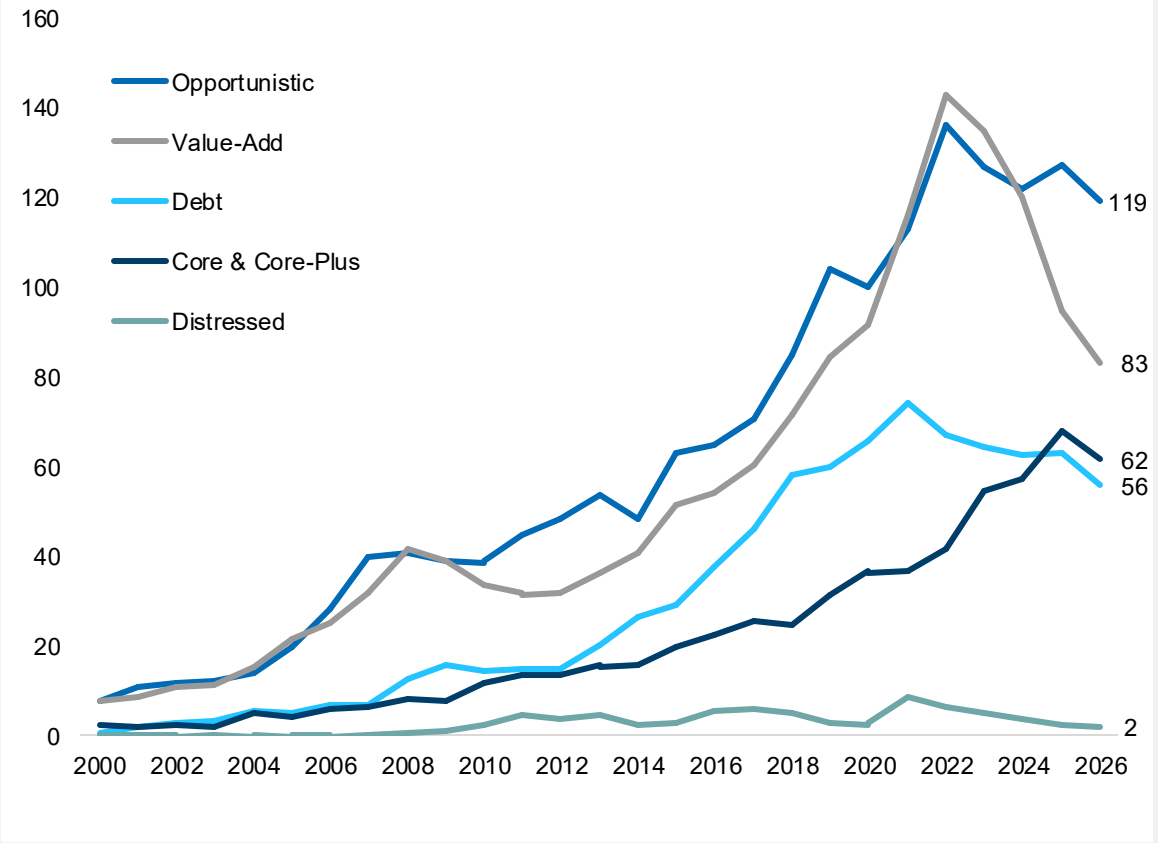
Private Equity Dry Powder Has Declined from 2022 Peak, but Still Elevated Overall

Dry powder is 17% below its December 2022 peak, reflecting declines in dry powder at value-add and opportunistic funds. Value-add dry powder has declined back to 2021 levels, down 32% since peaking in 2022. It represents roughly 83% of the total decline in CRE dry powder, despite only accounting for 36% of total available funds.

Dry Powder – Closed-End Funds – North America Focus



Dry Powder by Strategy – North America Focus*

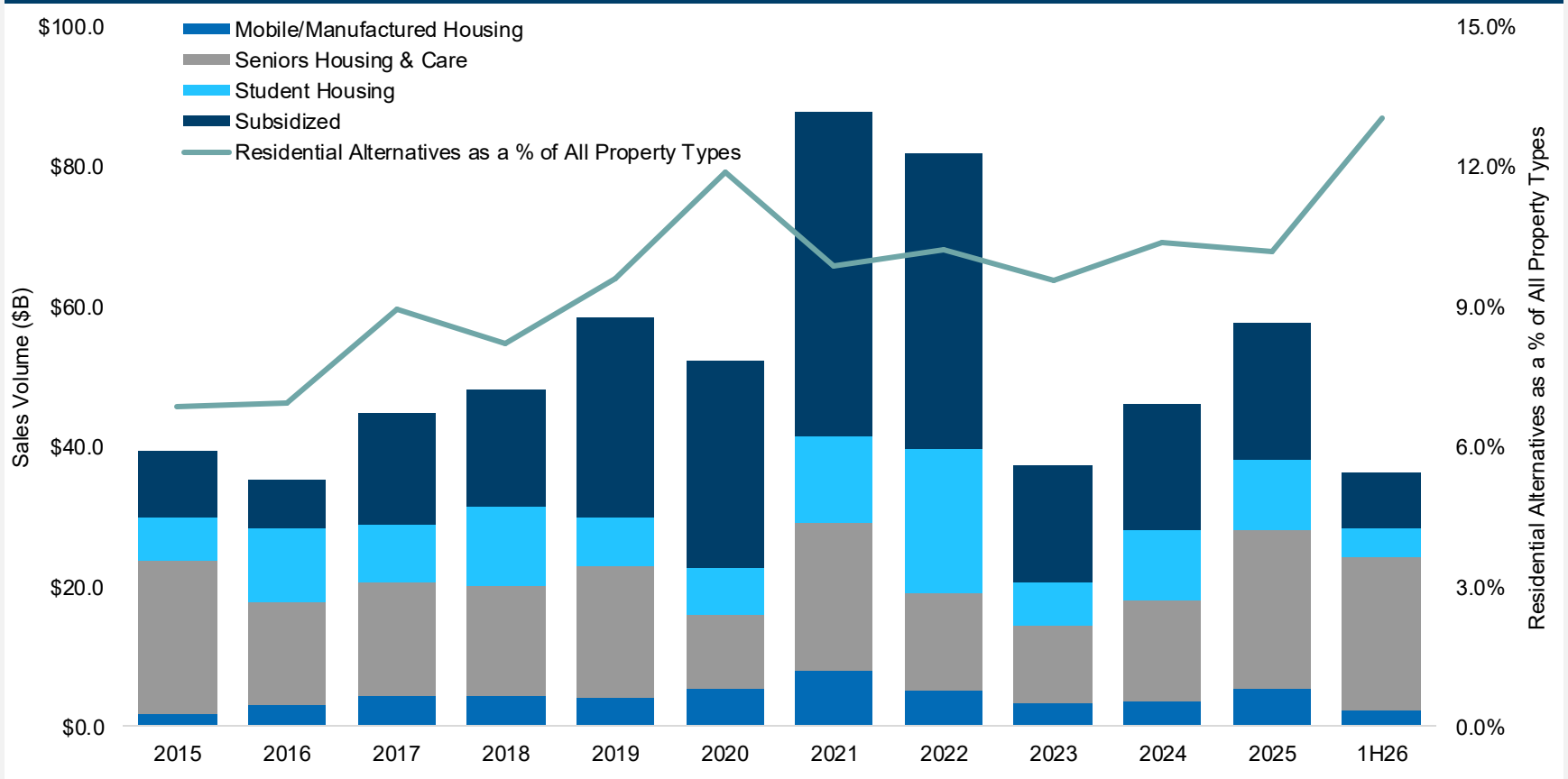


Source: Newmark Research, Preqin as of 7/24/2026
*Not shown: Fund of funds, co-investments, and secondaries strategies

Residential Alternatives Volume Nearly Triples Since 2015; Strong Momentum in 2026

After peaking at $87.8 billion in 2021 and pulling back sharply in 2023, residential alternatives sales volume is on pace for a third straight year of growth. Momentum accelerated further in the first half of 2026, pushing the sector's share of total CRE sales volume to 13.0%, its highest level since 2015 and above prior peaks in 2011 and 2020.

Residential Alternatives Sales Volume & Residential Alternatives as a % of All Property Types Sales Volume





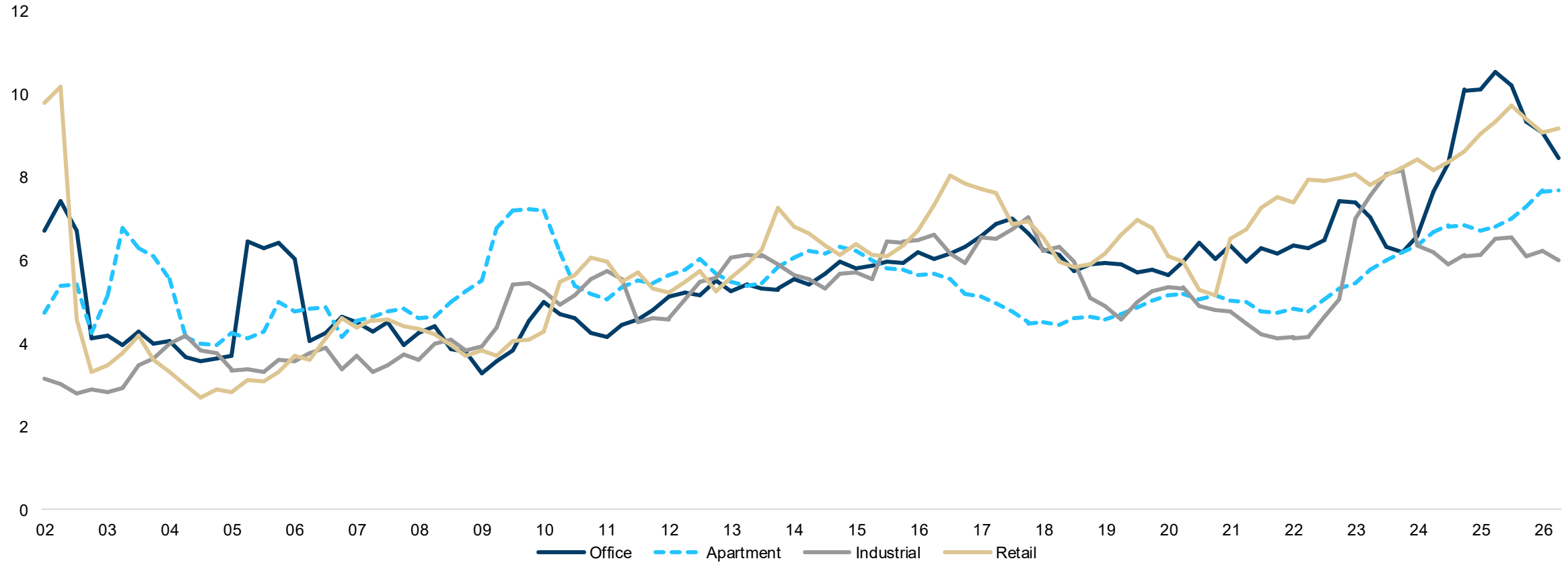
Source: Newmark Research, MSCI Real Capital Analytics

** Subsidized is defined as apartment complexes where any portion of it is reserved for low-income residents and a portion of the rent is paid by a government entity.*

REITs and Institutional Owners Selling Older Vintages

While a lack of transaction volume has naturally pushed up hold periods, the effect has pushed apartment holds to be the longest since 2009. For sellers, older vintage assets can be offloaded after years of pulling out yield for a positive overall IRR, even if the asset sells at a discount, and the capital can be recycled. Hold periods have also been extended as owners run into issues at maturity for their loans and choose to extend as opposed to sell into a tough market.

REIT/Institutional Years Held At Time Of Sale – 12-Month Rolling Average

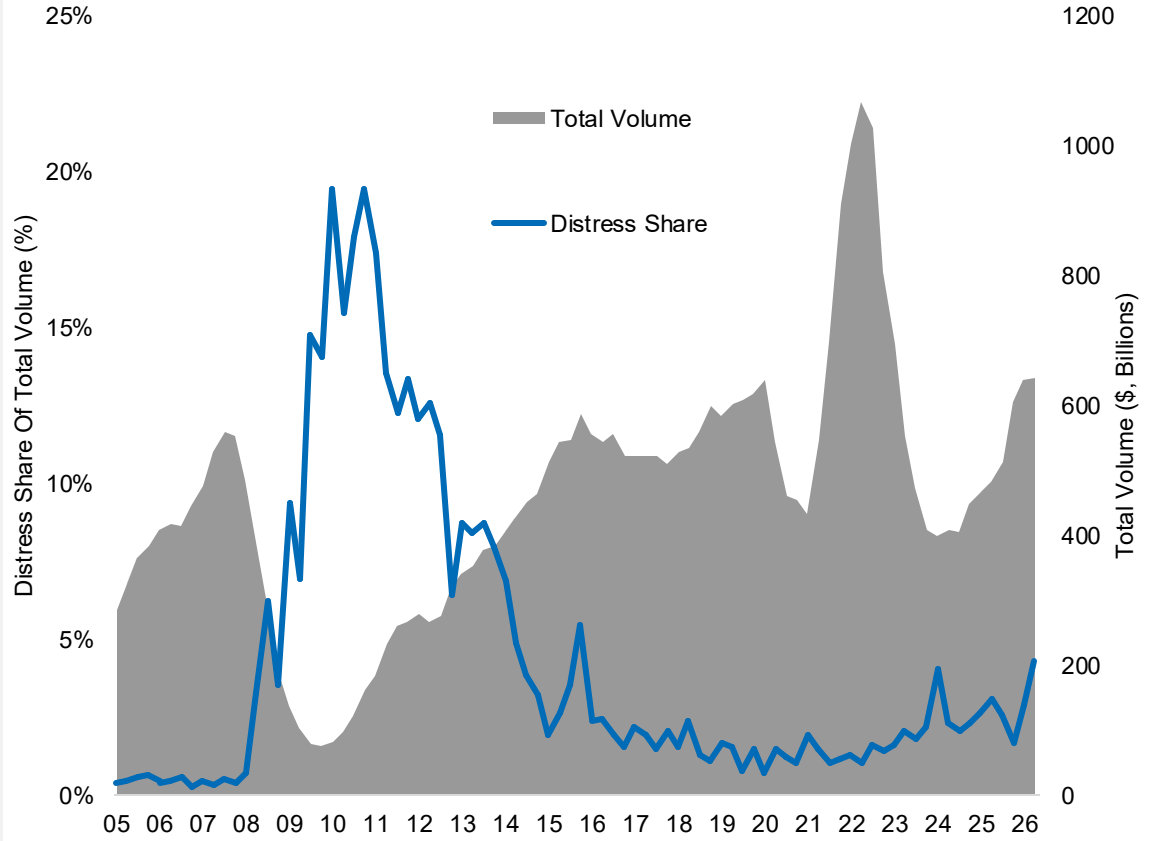


Source: Real Capital Analytics, Newmark Research as of 7/14/2026
Note: Weighted-average time held is calculated by getting the number of years between a property that transacted and its last sold date, and weighting by transaction volume

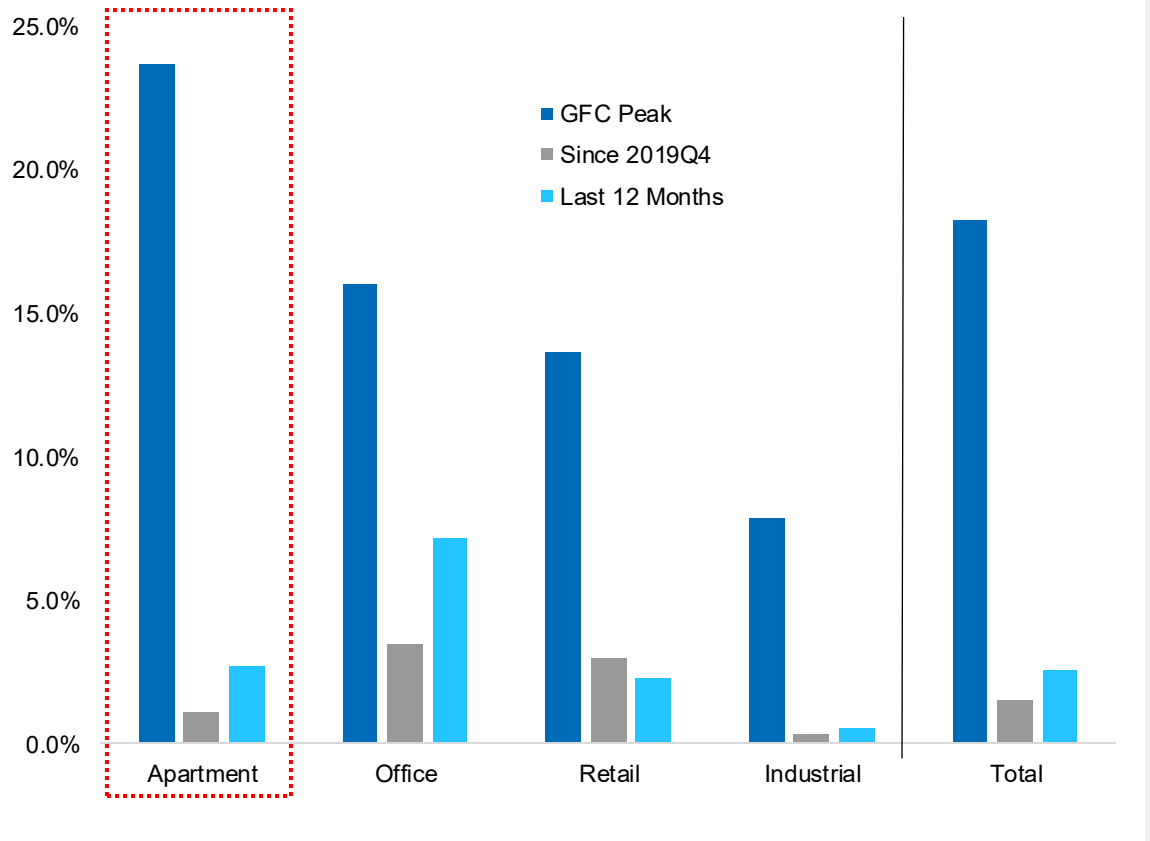
Distress Sales Low, but Picking Up as a Share of Total

Distress share of total volume remains well below the peaks seen during the Financial Crisis, but has been trending upward since 2022. During the last crisis, distress played an important part in kick-starting the new investment cycle. Roughly 24% of the increase in volume in 2010 was due to distressed sales, which were mostly multifamily. In the last 12 months, office distress as a share of volume passed 7.2% and is now more than double 2023 levels. Paradoxically, further increases in distressed sales would be among the most positive indicators for a recovery in investment sales.

Distress Volume Share and CRE Volume, 12-Month Rolling



Distress Sale Share by Property Type



Source: RCA, Newmark Research as of 7/14/2026

05

Pricing and Returns

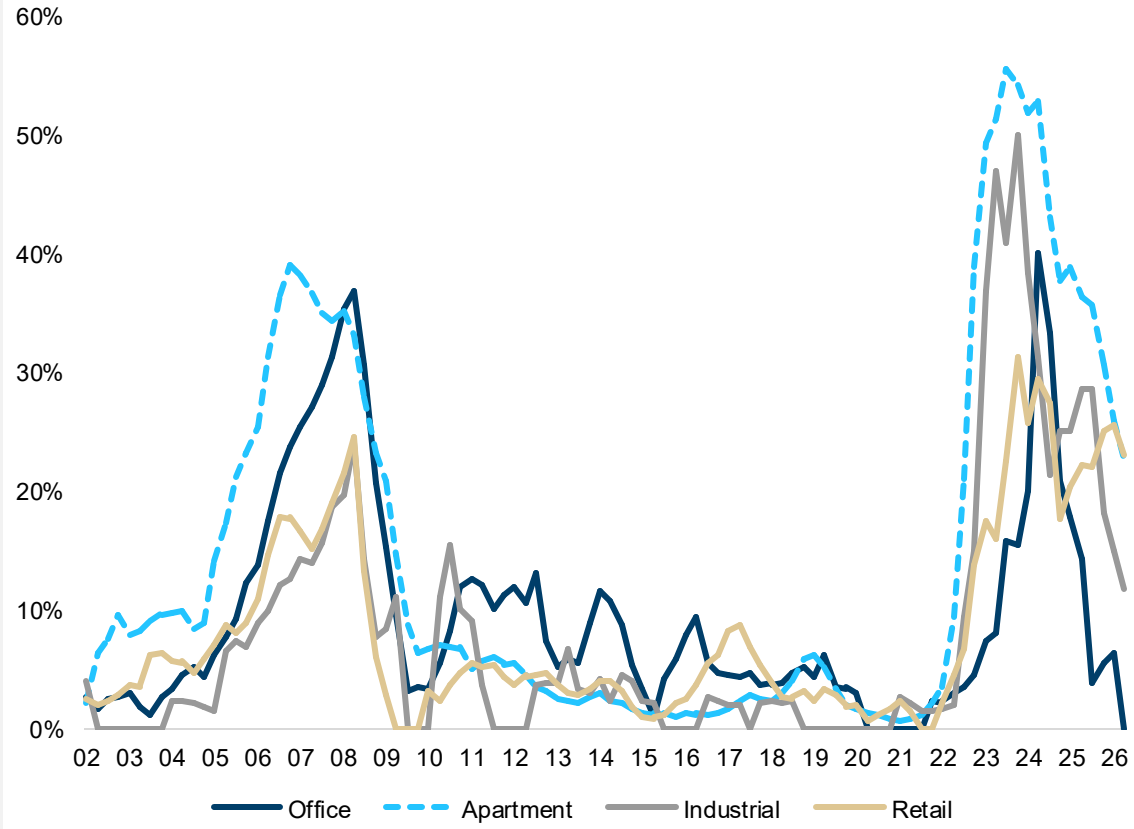
2Q26



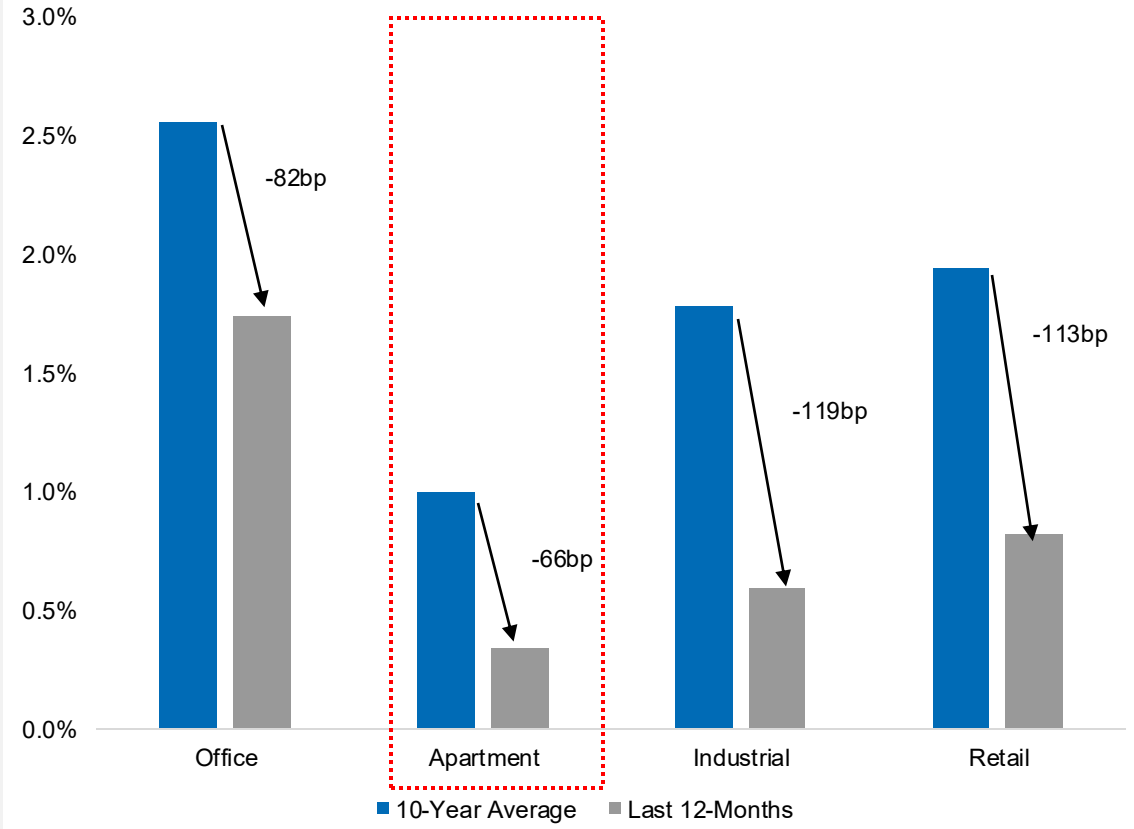
Negative Leverage Deals Have Continued to Recede

As base rates have increased, interest rates for CRE lending have also increased, although cap rates have been slower to react. Multifamily and industrial, where fundamentals have been the strongest, continue to have the tightest cap rate-to-interest rate spreads, but all property types are being squeezed. Negative leverage has also become a lot more common in recent years as investors rely on fundamentals to grow their NOI. However, as the market becomes more convinced that rates will remain higher-for-longer, spreads will become dependent on the availability of debt capital.

Share of Deals With Negative Leverage*



Average Spread Between Cap Rate and Interest Rate



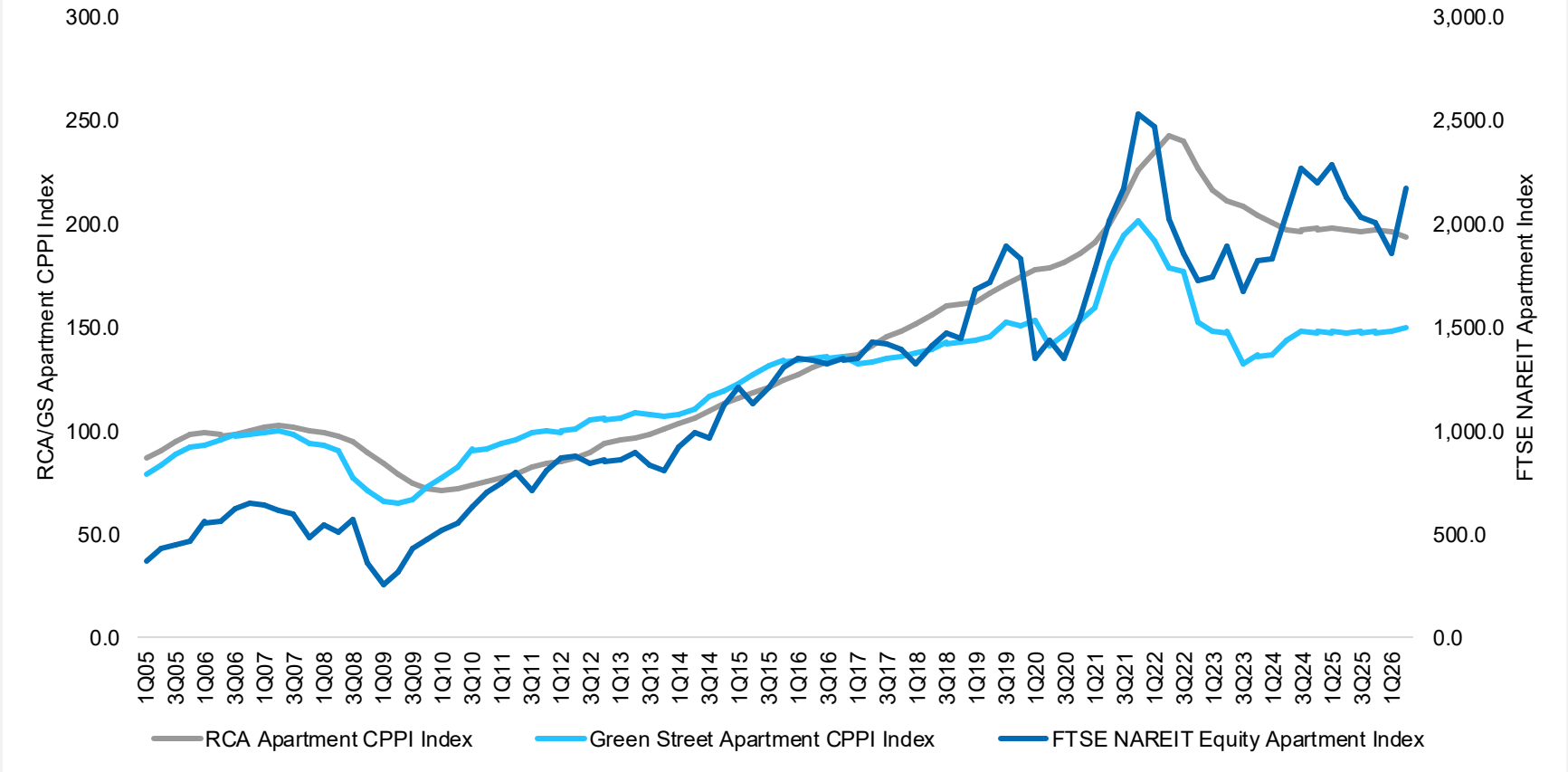
Source: RCA, Newmark Research as of 7/14/2026

*Negative leverage here defined as deals where transaction cap rate is lower than interest rate, for deals where both cap rate and interest rate are available

Public Markets Rebound Sharply While Private Indexes Hold Steady

Private market indexes remain stable year-over-year (RCA -1.7%, Green Street +1.7%), while public apartment REITs are up 2.2% YoY but surged 17.1% quarter-over-quarter. Since public markets typically reprice ahead of private valuations, this rebound may signal private apartment values are nearing a bottom.

Property Indexes



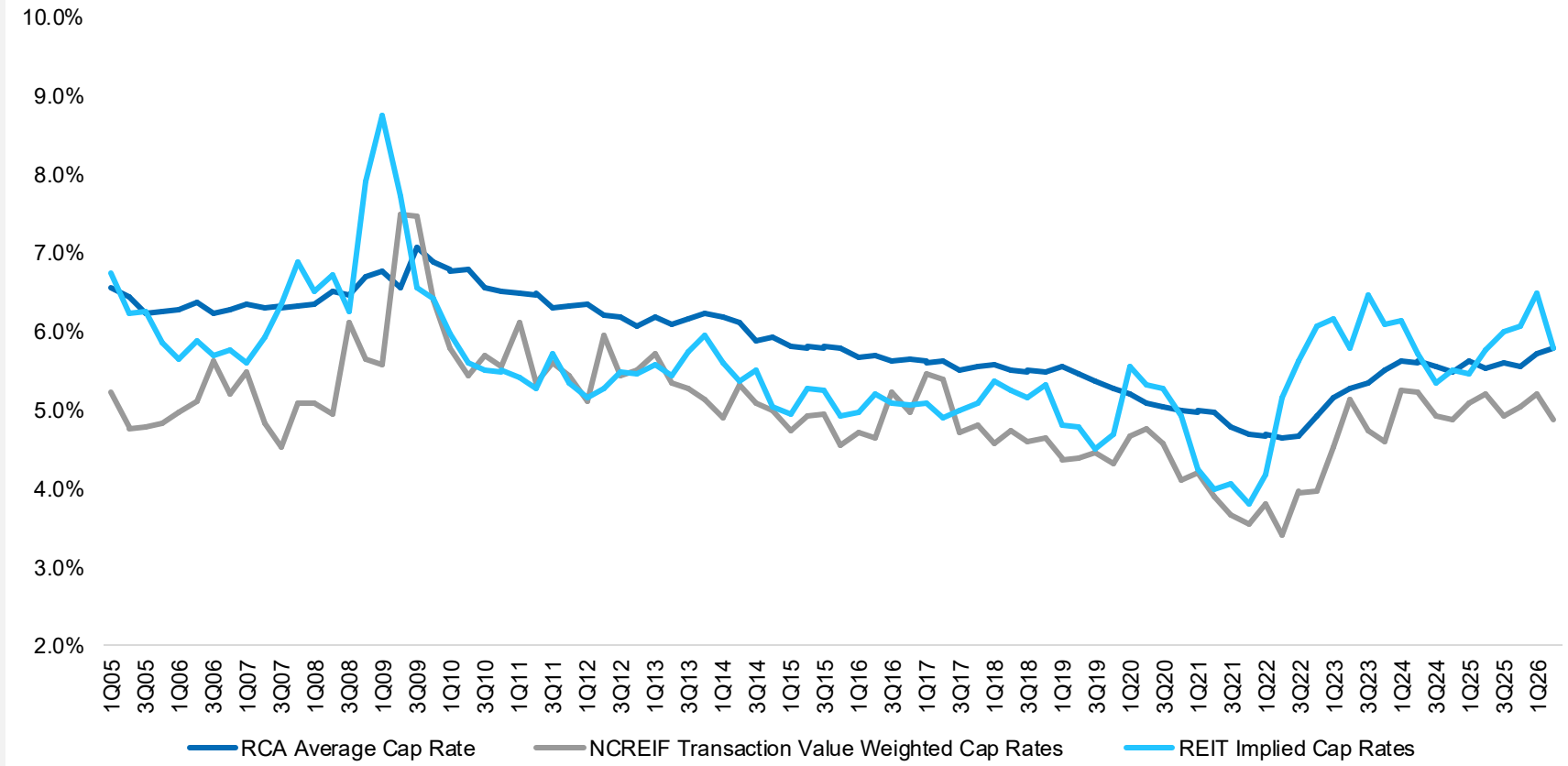


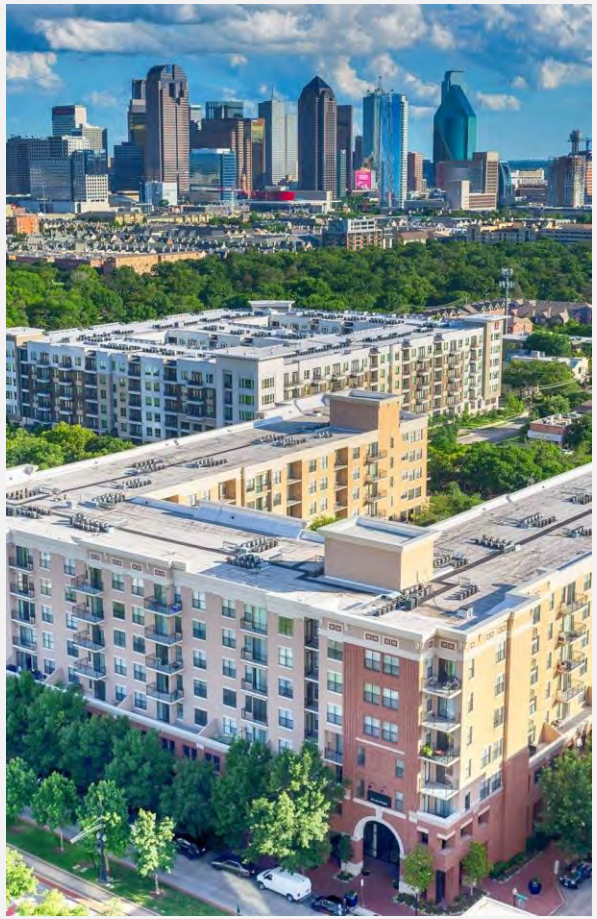
Source: Newmark Research, MSCI Real Capital Analytics, Green Street Advisors, NAREIT

REIT-Implied Yields Snap Back Sharply, While Transactional Cap Rates Increase Steadily

REIT implied cap rates compressed sharply in 2Q26 — down 70 basis points quarter-over-quarter, the largest move of the three series, while RCA's transaction-based average continued drifting modestly higher and NCREIF's appraisal-based figure edged lower.

Cap Rates



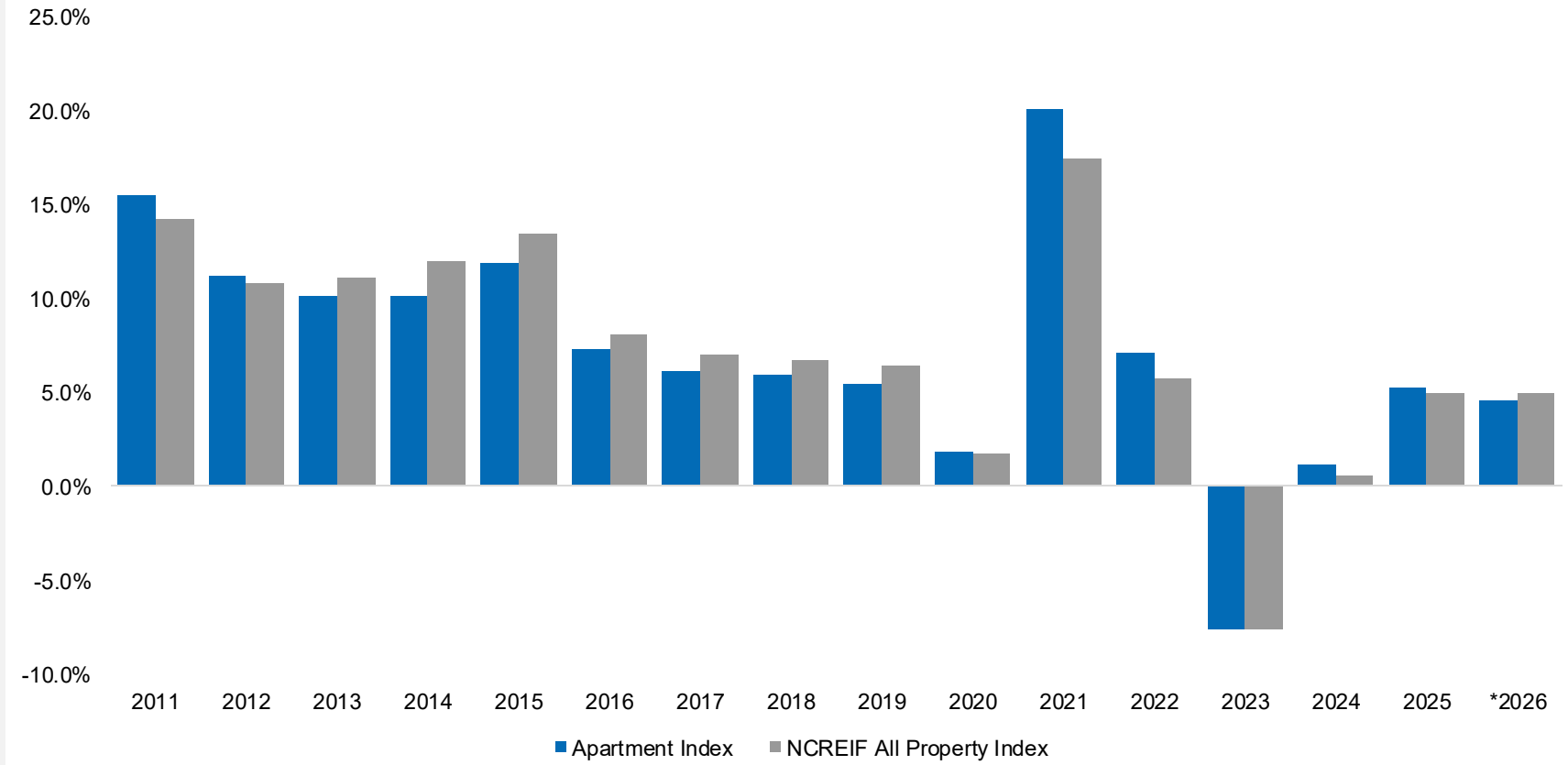


Source: Newmark Research, MSCI Real Capital Analytics, NCREIF, Green Street Advisors

Multifamily Performance Drags vs. All-Property Index

Through the second quarter of 2026, annual total returns for multifamily properties were 4.59%, underperforming the NCREIF All Property Index, which registered 4.99% total returns, exceeding multifamily returns for just the second time since 2020. Apartments had outperformed the all-property index in most years since 2020, underscoring the sector's sustained strong performance.

Calendar Year Total Returns





Source: Newmark Research, NCREIF
*2026 is annualized

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